

THE NCA HUB

Examination Preparation

CANADIAN CONTRACT LAW

COMPREHENSIVE STRATEGIC NOTES

Based on: Ben-Ishai & Percy, Contracts: Cases and Commentaries, 11th ed. (Thomson Reuters, 2022)
McCamus, The Law of Contracts, 3rd ed. (Irwin Law, 2020)

NCA Syllabus: Revised April 2023 | Open-Book | 3 Hours | 100 Marks | Pass: 50%

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HOW TO USE THESE NOTES

These Strategic Notes provide comprehensive, exam-focused coverage of every testable topic on the NCA Canadian Contract Law syllabus (Revised April 2023). They are organized to match the structure of the Ben-Ishai & Percy casebook and are designed as your primary open-book reference in the examination room.

PARAMETER	DETAIL
Format	Open-book. Hard copy only — no electronic devices, tablets, or phones permitted during the examination.
Duration	3 hours (180 minutes)

Pass Mark	50% — pass/fail grading system
Structure	Approximately 4 questions of unequal mark value totalling 100 marks. Based on both sample exams: typically 25 + 25 + 30 + 20 marks. Multiple-choice questions may also appear.
Key Warning	The NCA syllabus states: 'The examination will be based EXCLUSIVELY on these materials. Candidates who acquired their knowledge from different materials are unlikely to pass.' Know the specific cases in the Ben-Ishai & Percy casebook.
Case Citation	Unless citing a case not covered by the syllabus, you need only the case name (not full citation). The exam instructions confirm: 'The name of the case and the name and relevant section of the statute will suffice.'
Exam Style	Problem-based questions. 'Do not feel obliged to provide an initial summary of the facts; rather, deploy the facts in your analysis.' Identify issues → apply law → connect to facts → conclude.
Primary Texts	Ben-Ishai & Percy (casebook, required); McCamus (textbook, strongly recommended); Swan, Adamski & Na, Canadian Contract Law, 4th ed.; Waddams, The Law of Contracts, 6th ed.

Three-Step Exam Method

- **STEP 1 — ISSUE IDENTIFICATION:** Read the question and flag every contractual issue in the margin before writing. Contracts questions often embed 4-6 sub-issues. Missing issues = lost marks regardless of how well you answer the issues you did spot.
- **STEP 2 — RULE + CASE:** For every issue, state the rule with the SPECIFIC case name that establishes it. 'Under Hadley v Baxendale, damages are limited to loss that arises naturally or was within the reasonable contemplation of the parties at contracting.' The case name is mandatory.
- **STEP 3 — APPLY TO FACTS:** Connect every rule to the specific facts. Use 'because' to force the connection. 'Because BDL only read the summary page of the geological report and did no independent inspection, it assumed a risk that goes to the heart of what has changed — the reliance was unreasonable.' Bare legal conclusions score nothing.

⚠ EXAM TIP — THE CONTRACTS EXAM IS CASE-DRIVEN

Unlike other NCA subjects, Contract Law is tested through the specific cases in the Ben-Ishai & Percy casebook. The examiner writes questions based on those cases. When you read a fact pattern about tendering, think Ron Engineering and MJB. When you see an exclusion clause, think Tercon. When you see a modification without new consideration, think Gilbert Steel. Master the FACTS and HOLDINGS of the key cases — not just the abstract doctrine.

MASTER CONTRACT LAW FRAMEWORK — Apply to Every Problem Question

Every contracts problem reduces to the same five sequential questions. Work through them in order. Stop and address each before moving on. Missing a question — especially the formation question — cascades into errors throughout.

THE FIVE CONTRACT LAW QUESTIONS — ALWAYS IN THIS ORDER

QUESTION 1 IS THERE A CONTRACT?	Was a valid contract formed? Apply the formation elements: (1) OFFER — a definite proposal intended to be binding on acceptance. Distinguish offers from invitations to treat (advertisements, price lists, calls for tender under the Ron Engineering analysis). An offer can be revoked before acceptance unless it is a firm offer supported by consideration. (2) ACCEPTANCE — unconditional assent to the exact terms of the offer ('mirror image rule'). A counter-offer destroys the original offer (Hyde v Wrench). Acceptance must be communicated. A 'battle of the forms' requires careful analysis. (3) CONSIDERATION — each party must provide something of value. Past consideration is not good consideration. The pre-existing duty rule (Stilk v Myrick; Gilbert Steel). Part payment of a debt (Foakes v Beer). (4) INTENTION — the parties must intend their agreement to be legally binding. Presumed in commercial agreements; presumed NOT to exist in domestic/family arrangements. (5) CERTAINTY — essential terms must be sufficiently definite. Agreements to agree are not enforceable (May & Butcher). IF NO CONTRACT → check for promissory estoppel (detrimental reliance) or restitutionary remedies (quantum meruit).
QUESTION 2 WHAT ARE THE TERMS?	What did the parties actually agree to? This involves: (1) REPRESENTATIONS VS TERMS — did a pre-contractual statement become a term of the contract or remain a mere representation? Test: the parties' intention, reasonable reliance, the representor's special knowledge (Dick Bentley; Heilbut Symons). (2) EXPRESS TERMS — what does the written or oral agreement actually say? (3) IMPLIED TERMS — terms implied in fact (necessary to give business efficacy; so obvious they go without saying — The Moorcock; BP Refinery); terms implied in law (standard to a class of contract); terms implied by custom. (4) INTERPRETATION — how are ambiguous or disputed terms construed? The matrix of fact approach (Sattva Capital 2014 SCC 53). Contra proferentem for ambiguous exclusion clauses. (5) EXCLUSION AND LIMITATION CLAUSES — does the clause cover the breach? Is it enforceable (Tercon three-step test)? (6) GOOD FAITH — the duty of honest performance (Bhasin 2014 SCC 71; CM Callow 2020 SCC 45).
QUESTION 3 IS THE CONTRACT VALID AND ENFORCEABLE?	Even if formed, is the contract valid? Check for vitiating factors: (1) MISTAKE — common mistake (both parties wrong about the same thing — Bell v Lever Brothers); mutual mistake (parties at cross-purposes — Raffles v Wichelhaus); unilateral mistake (one party wrong, and other knows — Smith v Hughes). (2) MISREPRESENTATION — false statement of fact inducing the contract. Innocent (rescission); negligent (tort damages + rescission); fraudulent (all remedies). (3) DURESS AND UNDUE INFLUENCE — consent vitiated by pressure. (4) UNCONSCIONABILITY — inequality of bargaining power + improvident bargain (Harry v Kreutziger). (5) ILLEGALITY AND PUBLIC POLICY — contracts contrary to statute or public policy are void or unenforceable.
QUESTION 4 HAS THE CONTRACT BEEN PERFORMED,	What happened after formation? (1) PERFORMANCE — was the contract performed? Doctrine of substantial performance (Hoenig v Isaacs). Conditions precedent to performance.

EXCUSED, OR BREACHED?	(2) FRUSTRATION — has a supervening event made performance radically different from what was contracted for (Davis Contractors)? Applies to: destruction of subject matter (Taylor v Caldwell); illegality; loss of basis (Krell v Henry). Ontario Frustrated Contracts Act consequences. (3) BREACH — material breach; anticipatory breach. The election: accept the repudiation or affirm and continue (White & Carter).
QUESTION 5 WHAT ARE THE REMEDIES?	If there is a breach, what can the innocent party recover? (1) EXPECTATION DAMAGES — put the plaintiff in the position they would have been in if the contract had been performed. Limited by: remoteness (Hadley v Baxendale — naturally arising OR within reasonable contemplation); duty to mitigate; certainty. (2) RELIANCE DAMAGES — reimburse expenses incurred in reliance on the contract (Anglia Television v Reed). (3) RESTITUTION / QUANTUM MERUIT — restore the value of the benefit conferred to prevent unjust enrichment. Available where contract fails or for quantum meruit on a quasi-contractual basis. (4) SPECIFIC PERFORMANCE — equitable remedy; available where damages inadequate (unique property; personal service contracts generally not enforced). (5) INJUNCTION — equitable remedy to restrain breach. (6) PUNITIVE DAMAGES — available for breach of duty of honest performance (Whiten v Pilot Insurance 2002 SCC 18) and for the independent actionable wrong arising from bad faith breach.

⚠ EXAM TIP — TENDERING IS THE MOST TESTED CONTRACT A/CONTRACT B FACT PATTERN

Both NCA sample exam Q1s involve tendering. The Contract A/Contract B analysis from Ron Engineering and MJB Enterprises is the most frequently tested doctrine in Canadian Contracts. Master it completely: the call for tenders creates Contract A with each compliant tenderer; the awarding of the contract creates Contract B. Know all the implied terms of Contract A (obligation to consider all compliant bids; to award to the lowest compliant bid where the policy manual requires it; duty of fairness). Know Tercon's exclusion clause three-step test cold.

PART I

CONTRACT FORMATION

Chapter 1: Introduction — What Is a Contract?

1.1 Definition and Elements

A contract is a legally enforceable agreement. For an agreement to be a contract enforceable at common law, five elements must be present: offer, acceptance, consideration, intention to create legal relations, and certainty of terms. The absence of any element means no contract was formed.

1.2 The Nature of Contractual Obligation

Contract law reflects freedom of contract — parties can structure their agreements as they choose, within the limits of public policy and good conscience. The court's role is not to improve bargains or protect parties from bad deals, but to enforce what the parties agreed. Two competing values run through the entire subject:

- **AUTONOMY:** parties should be free to make their own bargains and be bound by them. Courts give effect to the agreement as written, not to what a reasonable person would have agreed.
- **FAIRNESS:** the law intervenes where the agreement was made in circumstances of oppression, deception, or radical unfairness (unconscionability, misrepresentation, duress, public policy).

1.3 Categories of Contract

CATEGORY	DESCRIPTION
Bilateral Contract	Both parties make promises. Each party's promise is the consideration for the other's promise. The most common form of contract.
Unilateral Contract	One party makes a promise in exchange for the other party's performance of an act (not a promise to perform). The offeror cannot revoke after the offeree has begun performance. <i>Carlill v Carbolic Smoke Ball Co</i> is the classic case.
Specialty Contract	Made under seal (deed). Consideration is not required — the seal is a formal substitute for consideration.
Quasi-Contract	Not a true contract but an obligation imposed by law to prevent unjust enrichment. Quantum meruit recovery.

1.4 Indigenous Peoples and Contract Law (New 11th Edition Content)

The 11th edition of Ben-Ishai & Percy introduces material on the intersection of Indigenous and Aboriginal law with the common law of contract. This reflects an important development in Canadian legal consciousness and appears as assigned reading in the syllabus (CB 20-24, 29-39).

- **HISTORICAL CONTEXT:** Many early agreements between Crown agents and Indigenous peoples were structured as contracts (trading agreements, land cession treaties, resource-sharing agreements). Courts have grappled with whether standard contract law principles apply to these agreements or whether a distinctive Aboriginal law framework governs.
- **THE HONOUR OF THE CROWN:** The Supreme Court of Canada has recognized that the honour of the Crown governs the Crown's dealings with Indigenous peoples. Where the Crown contracts with Indigenous parties, courts have interpreted ambiguous terms in favour of Indigenous parties (analogous to *contra proferentem*) and have imposed obligations of good faith and meaningful consultation.
- **UNCONSCIONABILITY AND HISTORICAL AGREEMENTS:** Courts have examined whether historical contracts between Indigenous peoples and settlers were valid, given the significant disparities in bargaining power, understanding of the legal consequences, and the Indigenous parties' limited access to independent legal advice. These considerations intersect with unconscionability doctrine.
- **UNDRIP AND MODERN TREATY CONTEXTS:** The United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP), implemented in Canada through federal and provincial legislation, provides a framework for assessing whether agreements involving Indigenous peoples reflect free, prior, and informed consent (FPIC). Modern treaty negotiations operate within this framework.

⚠ EXAM TIP — INDIGENOUS PEOPLES AND CONTRACTS — EXAM APPROACH

If a fact pattern involves an agreement with an Indigenous party, a historical treaty-type agreement, or a situation involving the Crown and Indigenous peoples, consider: (1) whether standard offer-and-acceptance analysis applies; (2) whether the honour of the Crown imposes additional obligations; (3) whether unconscionability or lack of free, prior, and informed consent vitiates the agreement; (4) whether ambiguous terms should be resolved in favour of the Indigenous party. Cite the relevant casebook pages (CB 20-24, 29-39) as your authority.

Chapter 2: Offer and Acceptance

Offer and acceptance is the foundational mechanism of contract formation and appears on EVERY NCA Contracts exam. The tendering cases (Ron Engineering, MJB Enterprises, Tercon) dominate both sample exams and are the most important Canadian contract cases you must master. The analysis always begins here.

2.1 Offer — Definition and Identification

An offer is a definite proposal, communicated to the offeree, demonstrating an intention to be bound by that proposal if accepted. An offer must be distinguished from an invitation to treat.

OFFER	INVITATION TO TREAT
A statement from which a binding contract can be formed by the offeree's acceptance alone. The offeror intends to be bound.	An invitation for others to make offers. The 'offeror' retains the right to accept or reject any responses. No contract formed until the invitor accepts.
Example: 'I will sell you my car for \$15,000.' — an offer that can be accepted.	Example: Advertisements in a shop window; a catalogue; a price list — generally invitations to treat.

Advertisements — Generally Invitations to Treat

Partridge v Crittenden [1968]	An advertisement in a magazine offering to sell wild birds was held to be an invitation to treat, not an offer. The offeror could not be bound by unlimited acceptances from all who saw the advertisement. RULE: Advertisements are generally invitations to treat because the offeror would otherwise be bound to unlimited numbers of acceptors, potentially impossible to fulfil.
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Unilateral Offers — The Exception

Carlill v Carbolic Smoke Ball Co [1893]	The company advertised that it would pay £100 to any person who contracted influenza after using the smoke ball as directed. The court held this was a unilateral OFFER to the world, not merely an advertisement. The company had deposited £1,000 in the bank to show its seriousness. Mrs. Carlill accepted by performing (using the ball as directed). RULES: (1) An offer can be made to the whole world; (2) A unilateral offer is accepted by performance, not by a promise to perform; (3) notification of acceptance may be dispensed with in unilateral contracts; (4) consideration is the act of doing what was asked.
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2.2 Termination of an Offer

METHOD OF TERMINATION	RULE
Revocation	The offeror can revoke the offer at any time before acceptance, EVEN IF the offeror promised to keep it open (unless consideration was given for keeping it open — i.e., an option contract). Revocation must be COMMUNICATED to the offeree before acceptance.
Rejection	A counter-offer constitutes a rejection of the original offer, which is then destroyed. <i>Hyde v Wrench</i> : a counter-offer to buy at a lower price destroyed the original offer; when the party later tried to accept the original offer, there was no longer an offer to accept.
Counter-offer	A counter-offer (which changes the terms of the original offer) constitutes a rejection. Distinguish a mere request for information (which is not a counter-offer) from a counter-offer.
Lapse of Time	An offer lapses after a reasonable time (if no time is specified) or the specified time.
Death or Incapacity	Death or insanity of the offeror may terminate the offer.

Hyde v Wrench [1840]	Wrench offered to sell his farm for £1,000. Hyde counter-offered £950. Wrench refused. Hyde then tried to accept the original £1,000 offer. HELD: No contract. The counter-offer of £950 was a rejection of the original offer, which was destroyed. There was no longer an offer capable of acceptance.
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2.3 Acceptance — Requirements

An acceptance must be: (1) unconditional — it must accept the EXACT terms of the offer (the 'mirror image rule'); (2) communicated to the offeror; (3) in the prescribed form if the offer requires it; (4) before the offer has been revoked.

The Postal Acceptance Rule

Where acceptance by post is the expected or authorized mode of communication, acceptance takes effect when the letter is posted (not when received). The postal rule is an exception to the general rule that acceptance must be communicated. The postal rule does NOT apply to instantaneous communications (fax, email, telex — *Entores v Miles Far East*).

The Battle of the Forms

Where parties exchange standard form contracts with conflicting terms, the question is which party's terms govern. The traditional analysis applies the 'last shot' rule — the party who sends the last form whose terms are accepted by conduct wins. Modern courts may look for a consensus on essential terms.

2.4 TENDERING — Contract A and Contract B (THE MOST TESTED TOPIC)

The tendering process creates two contracts under Canadian law. This framework comes from Ron Engineering and is the bedrock of both sample exam Q1s. Master it completely.

THE CONTRACT A / CONTRACT B FRAMEWORK	
CONTRACT A (The Tendering Contract)	When an owner issues a call for tenders and a contractor submits a compliant bid, a Contract A is formed between the OWNER and each COMPLIANT BIDDER. Contract A arises automatically upon submission of a compliant tender — there is no negotiation; it is a contract of irrevocability and fair treatment. KEY TERMS IMPLIED INTO CONTRACT A (from Ron Engineering and MJB): (1) The bidder cannot revoke its tender during the stipulated period. (2) The owner is obliged to consider all COMPLIANT bids fairly. (3) Where the specifications require it (e.g., award to the 'lowest compliant bidder'), the owner must award Contract B to the lowest compliant bidder. (4) The owner owes a duty of fairness to all compliant bidders — it cannot accept a non-compliant bid. (5) The owner cannot negotiate with one bidder and exclude others from similar opportunities.
CONTRACT B (The Main Contract)	Contract B is the main underlying contract — the construction contract, supply contract, or service contract — that the tendering process is designed to produce. Contract B is formed when the owner accepts one of the tenders. Only COMPLIANT tenders can form Contract B. An owner who awards Contract B to an ineligible bidder breaches Contract A with all the other compliant bidders.
THE EXCLUSION CLAUSE (Tercon)	Tender documents often include exclusion clauses purporting to limit the owner's liability to bidders. These clauses are enforceable only if they survive the three-step Tercon analysis: (1) Does the clause, properly interpreted, cover the breach? (If not, end of analysis — clause does not apply.) (2) Was the clause unconscionable at the time Contract A was formed? (3) Should the court refuse to enforce the clause on grounds of public policy? In Tercon itself, the exclusion clause did NOT apply because its language only excluded claims 'arising from participating in the RFP' — not claims arising from the participation of an ineligible third party.

Ontario v Ron Engineering & Construction Ltd [1981] 1 SCR 111	THE FOUNDATIONAL TENDERING CASE. Ron Engineering submitted a tender to the Ontario government for sewer and water work. The tender was accompanied by a deposit. Ron Engineering later realized it had made an error and sought to withdraw its tender before acceptance. HELD: No withdrawal was possible. The call for tenders was an invitation to treat. Each tender submitted was an offer which, upon submission, created Contract A — an irrevocable tender contract under which the bidder could not withdraw during the prescribed period. The government's call for tenders was accepted by the act of submitting a compliant tender. RULE: Submission of a compliant tender creates Contract A, under which the tender is irrevocable for the stipulated period, and the owner has an obligation to deal fairly with all compliant bidders.
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**MJB Enterprises Ltd v
Defence Construction Ltd
[1999] 1 SCR 619**

The government accepted a non-compliant bid (which included a 'privilege' clause that other bidders did not have). MJB, a compliant lower bidder, sued for breach of Contract A. HELD: The government breached Contract A by accepting a non-compliant bid. An implied term of Contract A is that the owner will only accept a COMPLIANT tender. Where the specifications require award to the 'lowest compliant bidder,' the owner must award to that bidder. RULE: Contract A contains an implied term that the owner will accept only compliant bids. The privilege clause ('the lowest or any tender need not necessarily be accepted') gives the owner discretion to accept any compliant tender but NOT to accept a non-compliant one.

**Tercon Contractors Ltd v
British Columbia, 2010
SCC 4**

BC issued an RFP limited to six eligible bidders. Brentwood (eligible) entered a joint venture with EAC (ineligible). The Province knew of the joint venture but accepted Brentwood's bid over Tercon's. The RFP contained an exclusion clause. HELD (5-4 majority): The Province BREACHED Contract A by considering an ineligible bidder's bid. The exclusion clause did NOT protect the Province. THREE-STEP EXCLUSION CLAUSE TEST (unanimously adopted): (1) Does the clause, as a matter of interpretation, apply to the breach in question? (2) Even if it applies, was it unconscionable at the time of formation? (3) Even if not unconscionable, should the court refuse enforcement on public policy grounds? On the facts, Tercon's claim arose from the Province DEALING WITH AN INELIGIBLE PARTY — not from Tercon 'participating in the RFP.' The clause did not cover this breach. RULE: Fundamental breach as a doctrine is DEAD in Canada. Courts apply the three-step Tercon test for exclusion clauses. Exclusion clauses are valid in principle but interpreted strictly — ambiguity is resolved contra proferentem against the drafter.

⚠ EXAM TIP — TENDERING — EXAM TECHNIQUE

Both sample exam Q1s are tendering questions. Structure your answer: (1) Establish the Contract A framework (Ron Engineering — call for tenders = invitation to treat; submission of compliant tender = formation of Contract A). (2) Identify what Contract A's implied terms require (MJB — owner must accept only compliant bids; must award to lowest compliant bidder if specifications require it). (3) Was there a breach? (Accepting ineligible bid = breach of Contract A with all compliant bidders). (4) If there is an exclusion clause: apply Tercon's three-step test. This structure earns full marks on any tendering question.

2.5 Unilateral Offers and Revocation

A unilateral offer (I will pay you \$100 if you walk to York) may be revoked before acceptance by performance. However, once the offeree has **BEGUN** performance, the majority view is that the offeror cannot revoke. The beginning of performance operates as acceptance.

2.6 Bilateral Offers — Offer, Counter-Offer, and the Mirror Image Rule

A bilateral contract is formed when the offeree accepts the exact terms of the offer. Any attempt to accept on different terms constitutes a counter-offer (which kills the original offer) rather than an acceptance.

- The MIRROR IMAGE RULE: the acceptance must exactly mirror the offer — any variation (even a minor one) constitutes a counter-offer.
- A REQUEST FOR INFORMATION is not a counter-offer: 'Would you accept a lower price?' is a mere inquiry and does not destroy the original offer.
- CONDUCT AS ACCEPTANCE: In certain circumstances (e.g., proceeding to perform without formal acceptance), a party may be held to have accepted by conduct.

2.7 Tendering — Deeper Analysis of Contract A Terms and Compliance

The sample exam Q1 (both versions) is a tendering question requiring more than a surface application of Ron Engineering. The following material covers the nuances that separate a passing answer from a high-scoring one.

The Compliance Question — What Makes a Bid Non-Compliant?

For Contract A to arise, the tender must be COMPLIANT with the terms of the request for proposals. A non-compliant tender does not give rise to Contract A; and if the owner accepts a non-compliant tender, it breaches Contract A with each compliant bidder. The compliance question is factual and depends on the specific tender documents.

CATEGORIES OF NON-COMPLIANCE	
TECHNICAL NON-COMPLIANCE (Equipment/Specifications)	The bid fails to meet one or more of the specified technical requirements. In sample exam Q1: DGL's compactors — one was built in 2007, but the specification required equipment 'built in 2008 or after.' This is a technical non-compliance. BUT: The specifications also included clause [41] — bidders unable to supply in accordance with specifications must submit 'full particulars for approval.' DGL did this (faxed particulars). Whether this cures the non-compliance is a key issue. Did Mary Bolan's acknowledgment that she 'couldn't see any problem' with DGL's bid constitute a WAIVER of the specification under clause [42]? The analysis: Clause [42] gave the City the right to 'waive any informality.' This language arguably allowed the City to waive DGL's specification non-compliance. If the waiver was valid, DGL's bid may be treated as compliant. MJB Enterprises suggests the privilege clause only allows discretion among compliant bids — not unlimited discretion to accept non-compliant ones. The tension between clauses [41]/[42] and the MJB implied term must be resolved.
PROCEDURAL NON-COMPLIANCE (Deadline/Format)	A bid submitted after the deadline, in the wrong format, without required documentation, or by an ineligible party (as in Tercon) is procedurally non-compliant. Such a bid does not create Contract A. Tercon: Brentwood's bid, submitted on behalf of a joint venture with an ineligible party, was procedurally non-compliant — it was submitted by a party that was not one of the six eligible proponents as defined in the RFP. The City knew this and accepted it anyway.
INELIGIBLE BIDDER (Who Can Tender)	Some tender calls restrict bidding to pre-qualified parties. Where an ineligible party submits a bid (or a compliant party submits a bid on behalf of an ineligible joint venturer), the bid is void and creates no Contract A.

The critical question in sample exam Q1: Does DGL's participation in the tender process create Contract A even though one of its compactors is non-compliant? The answer turns on whether non-compliance is treated as a bar to Contract A formation or as a term of Contract A.

The Privilege Clause and Its Limits

Most tender documents include a 'privilege clause' — a term that purports to give the owner unlimited discretion to accept or reject any bid. The most common formulation is: 'The lowest or any tender may not necessarily be accepted.' The legal effect of such clauses was definitively resolved in *MJB Enterprises*.

WHAT THE PRIVILEGE CLAUSE DOES: The privilege clause permits the owner to:

- Accept a higher-priced compliant bid over a lower-priced compliant bid (e.g., for quality or reliability reasons).
- Reject all compliant bids if none is satisfactory.
- Accept a bid that is not the lowest, without breaching Contract A.

WHAT THE PRIVILEGE CLAUSE DOES NOT DO: The privilege clause does NOT permit the owner to:

- Accept a non-compliant bid in preference to a compliant bid (*MJB Enterprises*). The implied term that the owner will only accept a compliant bid survives the privilege clause.
- Act in bad faith or exercise its discretion dishonestly (*Bhasin* — the duty of honest performance applies to the exercise of discretionary rights under contracts, including tender contracts).
- Collude with one bidder to favour them without disclosing this to others.

MJB Enterprises Ltd v Defence Construction Ltd [1999] 1 SCR 619 — Deeper Analysis

The plaintiff, MJB, submitted the lowest compliant bid. The government accepted a higher bid from another party whose bid contained a 'privilege' clause not available to other bidders — making it non-compliant with the uniform bid requirements. MJB argued that the implied term of Contract A (that only compliant bids would be accepted) had been breached. The SCC agreed. Justice Iacobucci held that the privilege clause ('the lowest or any tender may not necessarily be accepted') was not an unlimited right to accept anything — it preserved discretion among COMPLIANT bids only. The overriding implied term that the bidding process will be conducted fairly and that only compliant bids will be considered cannot be contracted out of by a privilege clause. **SIGNIFICANCE:** This case established that Contract A contains IMPLIED MANDATORY TERMS that cannot be waived by boilerplate privilege clauses. The duty to act fairly toward compliant bidders is one of those mandatory terms.

Bid Deposits — Recovery and Forfeiture

Tender documents typically require a deposit from each bidder. The rules governing deposits are important in exam Q3 (BDL submitted a \$30,000 deposit):

- If the BIDDER wins Contract B and REFUSES to enter it, the owner may retain the deposit as compensation for having to re-tender.
- If the OWNER breaches Contract A (by accepting a non-compliant bid or acting unfairly), the compliant bidder is entitled to return of its deposit PLUS damages for the breach.
- If the contract is frustrated (as in Q3A/Q3B), the Frustrated Contracts Act may govern the deposit — prepaid money is prima facie recoverable, and the court adjusts for expenses incurred.

- Ron Engineering: The deposit represented the bidder's commitment to the tender process. It was forfeited when the bidder attempted to withdraw its compliant tender.

The Duty of Fairness in Tendering

Contract A implies a duty of FAIRNESS owed by the owner to all compliant bidders. This duty requires:

- All compliant bids must be evaluated using the same criteria disclosed in the tender documents.
- The owner must not engage in secret negotiations with one bidder while the tender is open.
- If the specifications are to be changed, all bidders must be informed.
- The owner must not reveal one bidder's confidential bid price to another bidder.
- Where the tender documents specify an evaluation methodology (e.g., 'lowest evaluated tender'), the owner must follow that methodology — it cannot substitute a different one without notice.

In sample exam Q1: Mary Bolan's communication with DGL (acknowledging the fax, saying she 'couldn't see any problem') before the bid deadline may constitute a breach of the duty of fairness — she effectively gave DGL a competitive advantage by signalling that its non-compliant bid would not be disqualified. CSL, which had not received the same assurance, may have been prejudiced.

Contract A Between Multiple Bidders

Contract A is formed between the OWNER and EACH compliant bidder. If there are three compliant bidders (A, B, and C), there are three Contract As. The owner's obligation of fairness runs to all three. Accepting an ineligible bid breaches all three Contract As simultaneously.

△ EXAM TIP — SAMPLE EXAM Q1 — SCORING ALL THE MARKS

A complete answer to Q1 requires: (1) Identify that DGL's bid was technically non-compliant (one compactor built 2007, not 2008). (2) Discuss whether clause [41] (submit particulars) and clause [42] (waive informality) cure the non-compliance — this is the CONTRACT A analysis. (3) Discuss whether Contract A implies a duty to consider only compliant bids (MJB) — even if clause [42] allows waiver of 'informalities,' does this make a non-compliant bid compliant? (4) Advise the City on potential liability to CSL: if DGL's bid was non-compliant and the City accepts it, CSL has a breach of Contract A claim. CSL's damages: its reliance loss (wasted bidding costs) and possibly its expectation loss (the profit it would have made from Contract B). (5) Advise the City on potential liability to DGL: if the City accepts DGL's bid, Contract B is formed. But what is the effect of Mary's pre-deadline communication? Did she create an estoppel? She may have led DGL to believe the non-compliance was waived — relevant to whether DGL can now be held to its bid.

2.8 Electronic Contracting

The NCA syllabus and Ben-Ishai & Percy address the increasing relevance of electronic contracting. Key principles:

- **ELECTRONIC ACCEPTANCE:** An offer made electronically can be accepted electronically. Email acceptance is generally effective when it reaches the offeror's system (not when downloaded or read), analogous to the rule for non-instantaneous communications.
- **ELECTRONIC SIGNATURES:** Provincial electronic commerce legislation (e.g., Ontario's Electronic Commerce Act, 2000) recognizes electronic signatures as valid substitutes for handwritten signatures in most commercial contexts.
- **CLICKWRAP AGREEMENTS:** Standard form contracts accepted by clicking 'I agree' online are generally enforceable — the user has notice of the terms and has taken an affirmative step to accept. Courts have upheld clickwrap agreements where the user had reasonable notice of and an opportunity to review the terms before clicking.

- **BROWSEWRAP AGREEMENTS:** Terms that are merely accessible via a hyperlink, without any affirmative act of acceptance, are more problematic. Courts have been reluctant to enforce browsewrap terms where the user had no clear notice that use of the site constituted acceptance.

Chapter 3: Certainty of Terms

Even where offer and acceptance can be identified, a contract may fail for want of certainty. The courts are reluctant to find a contract uncertain — they will strive to give effect to what the parties intended — but some minimum of certainty is required.

3.1 The General Principle

For a contract to be enforceable, its essential terms must be sufficiently definite and certain. Courts will not make a contract for the parties where they have not agreed. However, courts take a purposive approach — they will imply terms, apply custom, and construe ambiguities to preserve a bargain wherever possible.

3.2 Agreement to Agree — Not Enforceable

May & Butcher v The King [1934]

The government agreed to sell surplus tentage to the plaintiff. Price and delivery dates were to be agreed later. The parties could not agree on price. HELD: No binding contract. An agreement to agree on an essential term (price) in the future is not enforceable. RULE: A contract that leaves an essential term for future agreement is not enforceable as a contract — it is merely an agreement to agree. Courts will not supply the missing essential term.

3.3 Agreements to Negotiate

Agreements to negotiate in good faith toward a binding contract occupy an intermediate position. Canadian courts have generally declined to enforce such agreements as contracts — one cannot be compelled to reach agreement. However, under Bhasin (see Chapter 9), a duty of honest performance may attach to the negotiation process where a contractual relationship already exists.

3.4 Mechanisms for Saving Apparently Uncertain Contracts

- **IMPLICATION OF TERMS:** Where a term is missing but the court can fill the gap from the nature of the transaction, surrounding circumstances, or standard practice, it will do so. A contract for the sale of goods with no price stated may be saved by implying a 'reasonable price' under the Sale of Goods Act.
- **COURSE OF DEALINGS:** Where the parties have an established course of dealing, courts will imply terms from that course of dealing to save what would otherwise be an uncertain agreement.
- **CUSTOM AND USAGE:** In commercial contexts, customary terms known to both parties may be implied into an agreement that appears incomplete on its face.
- **SEVERING UNCERTAIN PROVISIONS:** If only part of the agreement is uncertain, and the uncertain part is not essential, courts may sever it and enforce the remainder.

3.5 Illusory Promises

A promise is illusory if it imposes no actual obligation on the promisor. If a party retains an absolute discretion to perform or not, their 'promise' is illusory and cannot serve as consideration.

- Example: 'I promise to buy as many widgets as I want' — entirely illusory; the promisor has not committed to buying anything.
- CONTRAST: 'I promise to buy all the widgets I need for my factory' — not illusory; the promisor has committed to buying their actual requirements (requirements contracts are enforceable).

⚠ **EXAM TIP — CERTAINTY ISSUES — SPOT THEM IN FACT PATTERNS**

Watch for: (1) agreements that say 'price to be agreed,' 'terms to be negotiated' — these may be agreements to agree (May & Butcher); (2) agreements where an essential term (price, quantity, delivery date) is entirely missing; (3) conditional agreements where the condition is too vague to be operative. In each case: first try to save the agreement (implied terms, course of dealings, reasonableness). Only if the essential term is genuinely missing and cannot be filled should you conclude the contract fails for uncertainty.

PART II

ENFORCEMENT OF PROMISES — CONSIDERATION AND PRIVACY

Chapter 4: Enforcement of Promises — Consideration

Consideration is the price paid for a promise. Without consideration (or a substitute such as a seal or promissory estoppel), a promise is a mere gratuitous promise — a gift that the law does not enforce. This chapter covers the rules of consideration and the important pre-existing duty cases that the NCA exam consistently tests.

4.1 Definition of Consideration

The classic definition comes from *Currie v Misa* [1875]: 'A valuable consideration, in the sense of the law, may consist either in some right, interest, profit, or benefit accruing to the one party, or some forbearance, detriment, loss, or responsibility, given, suffered, or undertaken by the other.' More simply: consideration is a benefit to the promisor OR a detriment to the promisee.

4.2 Rules Governing Consideration

THE RULES OF CONSIDERATION

RULE 1 Consideration Must Be Sufficient but Need Not Be Adequate

The law does not require that consideration be equal in value to what it is exchanged for. A peppercorn or \$1 can be valid consideration for a promise to transfer a house worth \$1 million. Courts do not police the quality of bargains.

HOWEVER: 'Sufficient' means the consideration must be something of recognized legal value — it must be real and not illusory. A promise to do something the promisor is already legally obligated to do (e.g., perform an

	existing public duty) may not be sufficient consideration.
RULE 2 Past Consideration Is No Consideration	A past act or promise cannot serve as consideration for a new promise. The consideration must be provided in exchange for the promise — it must be bargained for. EXCEPTION: Where a past act was performed at the promisor's request and it was understood that payment would follow, a subsequent promise to pay is enforceable (Re Casey's Patents; Lampleigh v Brathwaite). The requirement of an implied promise or understanding of payment distinguishes this exception from bare past consideration.
RULE 3 Consideration Must Move from the Promisee	The consideration must be provided by the party seeking to enforce the promise — it cannot come from a third party. This interacts with privity of contract.
RULE 4 Performance of an Existing Public Duty	A party who is already under a public or legal duty to perform an act cannot use that performance as consideration for a new promise (Collins v Godefroy). But doing MORE than the existing public duty is good consideration.
RULE 5 Pre-Existing Contractual Duty Rule	A party who is already contractually obligated to do something cannot use performance of that obligation as consideration for a new promise to pay more. This is the central rule in Stilk v Myrick and Gilbert Steel. See below.

4.3 The Pre-Existing Duty Rule (Contract Modification)

The pre-existing duty rule is one of the most consistently tested areas on the NCA Contracts exam. It arises in all situations of contract MODIFICATION — when the parties try to change the terms of an existing contract.

Stilk v Myrick [1809]	Two sailors deserted during a voyage. The captain promised the remaining crew members that the wages of the deserters would be shared among them if they sailed the ship home. After arrival, the shipowner refused to pay. HELD: The sailors could not recover the extra wages. They were already contractually obligated to do whatever was necessary to bring the ship safely home — handling the vessel with a reduced crew was within their existing duty. Their performance of the existing duty was no consideration for the new promise. RULE: Performance of a pre-existing contractual duty is not good consideration for a new promise.
Hartley v Ponsonby [1857]	So many sailors deserted that the voyage became extremely dangerous for the remainder — the departure from the original obligation was so significant that it amounted to a new contract. HELD: The remaining sailors could recover the additional wages. Where the departure from the existing obligation is so extreme as to constitute effectively a new bargain, the pre-existing duty rule does not apply.
Gilbert Steel Ltd v University Construction Ltd (1976) ONCA	University contracted with Gilbert Steel to supply steel at a fixed price. Steel prices increased. The parties orally agreed to increase the price. University then refused to pay the increased price. HELD: The oral modification was unenforceable for lack of consideration. Gilbert Steel

provided no new consideration — it was already obligated to supply the steel under the existing contract. The mere fact of agreeing to a price increase (when one party was already bound) is not sufficient consideration. **RULE:** In Canada, the pre-existing duty rule prevents enforcement of bare contract modifications without fresh consideration.

The Williams v Roffey Exception — Practical Benefit

Williams v Roffey Bros & Nicholls (Contractors) Ltd [1991] UK

A sub-contractor ran into financial difficulties and could not complete carpentry work on time. The main contractor, faced with a penalty clause for late completion in the main contract, promised the sub-contractor additional payment to complete on time. **HELD:** The promise of additional payment was enforceable because the main contractor obtained a **PRACTICAL BENEFIT** from the sub-contractor completing (avoiding the penalty clause) — even though the sub-contractor's performance was merely what it was already obligated to provide. **RULE (English; persuasive in Canada):** A practical benefit to the promisor can constitute sufficient consideration for a modification, even where the promisee is only doing what they were already obligated to do.

NOTE ON CANADIAN LAW: Canadian courts have not uniformly adopted Williams v Roffey. The ONCA in Gilbert Steel applied the traditional pre-existing duty rule without reference to practical benefit. NCA candidates should know both the traditional Canadian position (Gilbert Steel) and the Williams v Roffey development, and should note that a Canadian court might go either way.

4.4 Part Payment of a Debt

Foakes v Beer [1884] HL

Mrs. Beer was owed £2,090 + interest by Dr. Foakes. They agreed in writing that if Foakes paid £500 immediately and the remainder by instalments, Beer would not take any action on the judgment. Foakes paid in full (principal only). Beer sued for the interest. **HELD:** Beer could recover the interest. The agreement not to sue for interest was a bare promise unsupported by consideration — Foakes paid only what he was already obligated to pay. Payment of less than what is owed cannot satisfy the full debt absent fresh consideration (e.g., payment earlier, in a different form, at a different place, or in combination with something else). **RULE:** Part payment of a debt, even if accepted in full satisfaction, does not extinguish the remainder of the debt unless supported by fresh consideration — promissory estoppel may prevent recovery in some cases.

⚠ **EXAM TIP — PRE-EXISTING DUTY — THE EXAM TRAP**

In sample exam Q2, Adriano was already contractually obligated to carpet and tile the offices for \$190,000. When he said he would need an extra \$10,000 due to carpet supply problems, Mr. William said 'do what you have to do to get it done.' The question: can Adriano recover the additional \$10,000? Analysis: Adriano's existing obligation was to complete the job — his obligation to complete on time using different materials was arguably within his existing contractual duty (similar to Stilk v Myrick). However, if the original contract specified the type of carpet, ordering Italian carpet at extra cost was arguably **NEW** consideration (a different product) or created a practical benefit (avoiding delay penalties). Always argue both sides on pre-existing duty questions.

4.5 Sufficiency vs Adequacy — More Detail

The distinction between sufficiency and adequacy of consideration generates important exam questions. Courts enforce the rule ruthlessly: they will not look behind the face of the bargain to ensure fairness of exchange.

Thomas v Thomas [1842]

A testator expressed a wish that his widow should remain in the family house. After his death, the executors promised to allow her to remain in the house in return for her paying £1/year rent and keeping the house in good repair. HELD: The promise to pay £1/year and maintain the house was valid consideration — even though it was worth far less than the house. The £1/year was sufficient in law even though it was not adequate (commercially equal) consideration. RULE: Courts do not ask whether consideration is adequate. Even a nominal payment is sufficient consideration, provided it is real and something the law recognizes as having value.

Past Consideration — The Exception for Requests Implying Payment

Lampleigh v Brathwait [1615]

Brathwait had killed a man and asked Lampleigh to ride to the King and obtain a pardon. Lampleigh did so at his own expense. Later Brathwait promised to pay £100. Brathwait then refused to pay. HELD: Lampleigh could recover the £100. Although the services were rendered before the promise was made (making them technically 'past' consideration), they were rendered at Brathwait's REQUEST. The court implied a promise to pay reasonable remuneration at the time of the request. The subsequent express promise to pay merely fixed the amount. RULE (confirmed in *Re Casey's Patents* [1892]): Past consideration can support a later promise IF: (a) the prior act was done at the promisor's request; (b) the parties understood the act was to be remunerated; and (c) a subsequent express promise is made. All three conditions must be present.

Consideration and Forbearance

Forbearance from exercising a legal right (such as forbearing to sue) is valid consideration, provided:

- The right being forborne must be a genuine legal right — not a frivolous or vexatious claim.
- The forbearance must be real — a party cannot promise to forbear from exercising a right they have no intention of exercising.
- Example: 'I will not sue you on my existing claim, in exchange for your payment of \$5,000' — the forbearance to sue is valid consideration for the \$5,000 promise.

4.6 Consideration in the Context of Deeds/Specialties

A contract made under seal (a 'deed' or 'specialty') does not require consideration to be enforceable. The seal is a formal substitute. This is an important exception — option contracts and some commercial guarantees are often structured as deeds to avoid consideration requirements. Where consideration is both present and the contract is under seal, either basis alone is sufficient to make the contract enforceable.

4.7 The Pre-Existing Duty Rule — Summary Table

SCENARIO	CONSIDERATION RESULT	LEADING CASE
Performance of a public duty already owed by law	NOT good consideration	Collins v Godefroy
Doing more than a public duty requires	GOOD consideration	Glasbrook Bros v Glamorgan
Performance of contractual duty already owed to promisor	NOT good consideration (Canada)	Gilbert Steel; Stilk v Myrick
Performance in circumstances so changed as to constitute a new contract	GOOD consideration	Hartley v Ponsonby
Performance of contractual duty owed to THIRD PARTY	GOOD consideration	Pao On v Lau Yiu Long
Conferring a practical benefit on the promisor	May be good consideration (UK; uncertain Canada)	Williams v Roffey
Part payment of an existing debt	NOT good consideration	Foakes v Beer

⚠ EXAM TIP — MODIFICATION — THE CORE EXAM SKILL

Every contracts modification question requires you to: (1) Identify what was the original contractual duty; (2) Identify what the modifying promise consists of; (3) Ask: does the modification provide anything NEW from the promisee, or is it simply performance of what they were already obligated to do? If NEW — good consideration; if simply existing duty — no consideration (Gilbert Steel; Stilk). Then argue Williams v Roffey (practical benefit) from both sides. Conclude: in Canada, the modification is likely unenforceable without fresh consideration under Gilbert Steel — but note the uncertainty.

Chapter 5: Promissory Estoppel

Promissory estoppel is the equitable doctrine that prevents a promisor from resiling from a clear promise where the promisee has acted in reasonable reliance on it. In Canada, it operates principally as a SHIELD (a defence) rather than a SWORD (a cause of action) — but this traditional limitation has been questioned.

5.1 The Origin — High Trees

Central London Property Trust Ltd v High Trees House Ltd [1947]

A landlord agreed to reduce rent for a block of flats during the wartime period when the flats were partially empty. After the war, when the flats were full, the landlord sought to reclaim full rent — including the arrears. Lord Denning held that the wartime promise to accept half rent was enforceable by estoppel during the period it was intended to apply. RULE: Where one party makes a clear promise intended to affect the legal relationship between them, and the other party relies on it, equity will not allow the promisor to act inconsistently with the promise — at least for the period during which the promise was intended to apply. A clear and unequivocal promise to waive a strict legal right is binding

during the period it applies; the promisor may be able to give reasonable notice to resume strict rights going forward.

5.2 Elements of Promissory Estoppel

ELEMENTS OF PROMISSORY ESTOPPEL — CANADIAN LAW	
ELEMENT 1 A Representation or Promise	There must be a clear and unequivocal representation or promise by one party that they will not enforce their strict legal rights. The representation may be express or implied from conduct. CRITICAL: In Canada (unlike England), there is NO requirement that the promise be made in the context of a modification of an existing legal relationship — but there must be an existing legal relationship between the parties.
ELEMENT 2 Reliance by the Promisee	The promisee must have acted, or refrained from acting, in reliance on the promise. The reliance must be reasonable. CANADIAN RULE: Unlike the English position which requires 'detriment,' Canadian courts have held that detriment is NOT required for promissory estoppel — reasonable reliance (even without detriment) may be sufficient (John Burrows v Subsurface Surveys Ltd).
ELEMENT 3 It Would Be Inequitable to Resile	It must be inequitable — unjust — for the promisor to resile from the promise in light of the promisee's reliance. This is an overarching equitable consideration. Key: promissory estoppel is an equitable doctrine — it is not available to a party who has not acted equitably themselves ('he who comes to equity must come with clean hands').

John Burrows v Subsurface Surveys Ltd [1968] SCR 607	The leading CANADIAN case on promissory estoppel. A vendor accepted late monthly payments on a land purchase for a period of time without objection. He then purported to terminate the agreement for late payment. HELD: The vendor's conduct in accepting late payments was a representation that he would not exercise his strict right to terminate. The purchaser relied on this by continuing to pay late. However — on the facts — the course of dealing was insufficiently clear to support estoppel. RULE: For promissory estoppel, there must be a clear and unequivocal promise or representation by the party who had the legal right to something different. A mere indulgence in accepting late payments without making it clear that strict rights were being waived may be insufficient. Importantly, the court confirmed that detriment is NOT required in Canada.
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5.3 Shield Not a Sword (Traditional Rule)

The traditional rule in Canadian law is that promissory estoppel operates as a SHIELD (a defence to a claim) but NOT as a SWORD (an independent cause of action). A party cannot use promissory estoppel to CREATE a contract where none exists — they can only use it to prevent enforcement of strict contractual rights.

- **AS A SHIELD:** The promisee can use promissory estoppel to prevent the promisor from enforcing the strict rights that were promised away. Example: A landlord promised to accept reduced rent → the tenant can use promissory estoppel to defend against the landlord's claim for full rent.
- **NOT AS A SWORD:** The promisee cannot use promissory estoppel as the basis of a new claim where no contract exists. Example: An employer promises a bonus but the promise is unsupported by consideration → the employee CANNOT use promissory estoppel to SUE for the bonus (*Combe v Combe*).
- **CANADIAN FLEXIBILITY:** Some Canadian courts have shown willingness to allow estoppel to operate offensively in certain circumstances, particularly in commercial contexts. The distinction between shield and sword remains important but is not always rigidly applied.

5.4 Suspension or Extinction?

Promissory estoppel suspends the promisor's strict rights during the period it operates. It does not necessarily extinguish those rights permanently. Where the promisor gives reasonable notice of their intention to resume strict rights, they may do so — going forward. However, if the parties' relationship has fundamentally changed in reliance on the promise, or if it would be inequitable to revive the original obligation, the rights may be extinguished.

5.5 Proprietary Estoppel — Briefly

Proprietary estoppel is distinct from promissory estoppel. It arises where one party acquiesces in, or encourages, another party's expenditure on or improvement of land, in the expectation of acquiring rights in that land. Where the elements are established, equity may create or recognize a right in the land itself. Proprietary estoppel can operate as a sword (create rights) unlike promissory estoppel.

Chapter 6: Privity of Contract

The doctrine of privity provides that a contract can only confer rights upon or impose obligations on the parties to the contract. A third party cannot sue on a contract even if the contract was made for their benefit. This is one of the most frequently tested doctrines in the NCA Contracts exam — the sample exam Q2 directly tests whether the Humane Society (a third party) can enforce Ahmed's promise.

6.1 The Privity Rule

Dunlop Pneumatic Tyre Co v Selfridge & Co [1915]

Dunlop sold tyres to Dew & Co with a condition that Dew would not sell below a minimum price and would extract the same promise from their customers. Dew sold to Selfridge, who extracted the promise. Selfridge sold below the minimum price. Dunlop sued Selfridge on the price-maintenance clause. HELD: Dunlop could not sue Selfridge. Dunlop was not party to the contract between Dew and Selfridge. RULE: Only a party to a contract can sue on it, even if the contract was made for that party's benefit.

6.2 The Exceptions and Qualifications

The strict privity rule has been significantly eroded in Canadian law through principled exceptions:

Exception 1: The London Drugs Exception (Employees)

London Drugs Ltd v Kuehne & Nagel International Ltd [1992] 3 SCR 299

London Drugs stored a transformer with Kuehne & Nagel. The contract limited liability for damage to \$40. Two employees negligently dropped the transformer, causing \$33,000 in damage. London Drugs sued the employees in tort. HELD: The employees could invoke the exclusion clause in their employer's contract. The employees' tort liability was excluded. TWO CONDITIONS for employees to rely on their employer's exclusion clause: (1) the limitation of liability must, either expressly or impliedly, extend its benefit to the employees; AND (2) the employees must have been acting in the course of their employment and performing the very services contemplated by the contract when the loss occurred. RULE: Where an employee performs the very services contracted for, and the contract's exclusion clause contemplates extending protection to employees, the employee can invoke the clause as a defence. This is a principled exception to privity in favour of employees.

Greenwood Shopping Plaza Ltd v Beattie [1980] SCC

A lease excluded the landlord's liability for fire losses. Tenants' employees were careless and started a fire. The landlord sued the employees. HELD: The employees could invoke the lease exclusion clause — they were employees performing the contracted services.

Exception 2: Agency

A third party who is an agent of a contracting party can acquire rights under the contract. Where an agent contracts on behalf of a disclosed principal, the principal is the contracting party and can sue or be sued on the contract.

Exception 3: Assignment

Contractual rights (but not duties) can generally be assigned to a third party. The assignee steps into the shoes of the assignor and can enforce the contractual rights against the original obligor.

Exception 4: Trusts

Where a contracting party holds the benefit of a contract on trust for a third party, the third party may enforce it through the trustee (in equity).

Exception 5: Statutory Exceptions

Various statutes create rights in third parties. For example, insurance legislation may allow beneficiaries of insurance policies to enforce them directly. The Motor Vehicle Act in various provinces allows accident victims to sue insurers directly.

6.3 The Third Party Beneficiary Problem — Sample Exam Application

In sample exam Q2, Ahmed promised to pay \$2,000 to the Humane Society (a third party) as part of his deal with Adriano. Can the Humane Society sue for the \$2,000?

- **APPLYING PRIVITY:** The Humane Society was not party to the contract between Ahmed and Adriano. Under the traditional privity rule (*Dunlop v Selfridge*), the Humane Society cannot sue on that contract.
- **TRUST ARGUMENT:** If Adriano holds Ahmed's promise on trust for the Humane Society, the Humane Society could enforce in equity through Adriano as trustee. This argument requires identifying an intention

to create a trust — which may be present here ('Adriano agreed on condition that Ahmed pay the Humane Society').

- **RELIANCE ARGUMENT:** The Humane Society printed new brochures (at \$2,000 cost) in reliance on Adriano's statements. Can it claim promissory estoppel? The Humane Society has no existing legal relationship with Ahmed — promissory estoppel traditionally does not work in the Humane Society's favour as a complete stranger to the contract. Its reliance damages (\$2,000 brochure cost) may be recoverable in negligent misrepresentation if it relied on a negligent statement of fact.

⚠ **EXAM TIP — PRIVACY — ALWAYS ASK FOUR QUESTIONS**

(1) Is the party seeking to enforce the contract a party to it? (2) If not, does any exception apply — London Drugs (employee performing contracted service); agency; assignment; trust? (3) Can the contracting party (e.g., Adriano) sue on behalf of the third party? (4) Is there a separate cause of action (tort — negligent misrepresentation; restitution) available to the third party that bypasses privity? In exam fact patterns, privity is usually combined with consideration — both are in play when the question involves modification or a new party beneficiary.

Chapter 6A: Contingent Agreements

Contingent agreements are contracts where one or both parties' obligations are conditioned on the occurrence of a future event. They are expressly covered in the NCA syllabus (CB 370-378, Chapter 17 of McCamus). This is a distinct topic that must be kept separate from frustration and from the certainty analysis.

6A.1 Conditions Precedent — Detailed Analysis

A condition precedent is a term of the contract that must be satisfied BEFORE the primary obligations arise. The failure of a condition precedent means the primary obligations never become operative — neither party must perform.

TYPE OF CONDITION PRECEDENT	NATURE AND CONSEQUENCES
CONDITION PRECEDENT TO THE CONTRACT ITSELF	Some conditions must be satisfied before a binding contract comes into existence at all. Example: 'We agree to purchase your land, subject to our board approving the transaction by Friday.' If the board does not approve, there is never a binding contract. Consequences: No contract = no obligations = no breach. Money paid in anticipation (a deposit) may be recovered in restitution (total failure of consideration).
CONDITION PRECEDENT TO PERFORMANCE	The contract exists and binds the parties, but one party's obligation to perform does not arise until the condition is satisfied. Example: 'I will pay you \$100,000 on closing of the sale of my house by June 1.' The obligation to pay is conditioned on the closing. The contract exists from the moment of agreement. Consequences: If the condition is not satisfied, the obligation to perform does not arise — but the contract remains on foot for other purposes. The parties may have mutual obligations of good faith in relation to the condition.
CONDITION SUBSEQUENT	An event whose occurrence terminates existing

contractual obligations. Example: 'This employment agreement continues until the company is sold, at which point it terminates automatically.' The employment contract exists and the parties are bound; if the company is sold, the obligations cease. Consequences: Rights that have accrued before the condition occurs remain enforceable. Future obligations terminate on the condition's occurrence.

6A.2 Waiver of Conditions for Sole Benefit

Where a condition exists solely for the benefit of ONE party, that party may WAIVE the condition and proceed to enforce the contract. The waiver must be communicated to the other party before the time for satisfaction of the condition has expired.

- Example: A purchase agreement includes a condition that the buyer obtains mortgage financing by June 1. This condition is for the buyer's sole benefit (it protects the buyer from being obligated to complete without financing). The buyer may waive this condition and proceed to close even without financing.
- Where the condition is for the benefit of BOTH parties, neither party can unilaterally waive it.
- Where a condition benefits both parties but is waived by one, the other may object — particularly if the other party would be prejudiced by the waiver.

6A.3 The Obligation Not to Prevent Satisfaction of a Condition

Where a party's own obligations under a contract are conditioned on the occurrence of an event, that party is implicitly obligated not to PREVENT the condition from being satisfied. This is a specific application of the duty of good faith.

Mackay v Dick [1881]

A party was obligated to pay for a digging machine if it could dig a certain amount of earth per day. The party prevented the machine from being tested under the specified conditions. HELD: The condition was deemed satisfied — a party cannot take advantage of the failure of a condition that they themselves prevented from being fulfilled. RULE: A party has an implied obligation not to prevent the occurrence of a condition precedent upon which their own obligations depend. If they do prevent it, the condition is treated as having been satisfied.

6A.4 The Obligation of Good Faith in Satisfying Conditions

Where the satisfaction of a condition requires the performance of one party (as opposed to an independent external event), courts may imply an obligation to make reasonable efforts to satisfy the condition.

- Example: 'I will buy your property subject to selling my current property.' The buyer is implicitly obligated to take reasonable steps to sell their property — they cannot simply not try and then invoke the condition's failure.
- The obligation of 'best efforts' or 'reasonable efforts' to satisfy a condition may be implied, particularly in commercial agreements.

6A.5 Distinguishing Conditions from Promises

A condition and a promise are fundamentally different. A CONDITION is an event whose occurrence or non-occurrence determines whether an obligation arises. A PROMISE is an obligation to do or refrain from doing something. Confusing them leads to incorrect analysis:

CONDITION	PROMISE
'I will pay you \$100,000 IF the property closes.'	'I promise to close the property by June 1.'
Non-occurrence of the condition: no obligation to pay; no breach.	Failure to close: breach of contract → damages for the innocent party.
The party whose obligation is conditioned bears no liability for the condition's non-occurrence (unless they prevented it).	The promising party is liable for breach if performance does not occur.

△ EXAM TIP — CONTINGENT AGREEMENTS — EXAM TECHNIQUE

When a fact pattern contains language like 'subject to,' 'provided that,' 'on condition that,' 'if and only if,' or similar — flag it as a contingent agreement question. Then: (1) Classify the condition (precedent to contract; precedent to performance; subsequent). (2) Who benefits from the condition — one party or both? (3) Was the condition satisfied, waived, or prevented by the obligated party? (4) What are the consequences — did obligations arise, did they terminate, was the contract ever binding? In sample exam Q4: David's statement 'as long as the condition about the buried hydro power line was part of the agreement' creates a **CONDITION PRECEDENT** to his purchase obligation. The condition was not satisfied (lines not buried). Analysis: Was this a condition precedent to the contract itself (never bound) or a condition precedent to performance (contract exists but closing obligation conditioned on buried lines)?

PART III

CONTRACT CONTENTS — TERMS, INTERPRETATION, AND EXCLUSION CLAUSES

Chapter 7: Representations and Terms

Not every statement made during negotiations becomes a term of the contract. Determining whether a pre-contractual statement is a **TERM** (breach → contract remedies) or a mere **REPRESENTATION** (if false → misrepresentation remedies) is one of the most practically important distinctions in contract law and appears directly in sample exam Q4.

7.1 The Distinction: Representations vs Terms

REPRESENTATION	TERM
A statement of fact made by one party that induces the other party to enter the contract, but which is not incorporated into the contract itself.	A statement that becomes part of the contract — a promise as to the truth of the statement or as to the performance of an obligation.
If false: MISREPRESENTATION remedies (rescission, damages in tort or under statute).	If breached: CONTRACT remedies (damages for expectation loss, specific performance, and

NOT an action for breach of contract.	termination if the breach is sufficiently serious).
Effect: Does not alter the contract's primary obligations, though it may ground rescission.	Effect: Defines the primary obligations of the contract — both parties are bound by it.

7.2 The Test for Whether a Statement Became a Term

The court applies an OBJECTIVE test: would a reasonable person in the position of the parties have understood the statement to be a contractual promise? The court considers:

FACTORS IN DETERMINING REPRESENTATION vs TERM	
FACTOR 1 Importance to the Promisee	Was the statement so important to the promisee that they would not have entered the contract without it? If the promisee made clear that the statement was crucial to their decision, this supports treating it as a term. Cichon v Swartz (ONCA): A buyer made clear that the furnace's condition was essential to the purchase. The seller's statement about the furnace became a contractual term.
FACTOR 2 Special Knowledge or Skill of the Represor	Did the party making the statement have special knowledge or expertise? If so, the statement is more likely to be a term. Dick Bentley Productions v Harold Smith (Motors) [1965]: A car dealer who stated that a car had done 20,000 miles was held to have made a contractual warranty. As a dealer with special knowledge, the statement was intended to be a guarantee, not a mere representation. Oscar Chess Ltd v Williams [1957]: A private seller who misrepresented a car's year of manufacture was only making a representation (not a term) — he was not a dealer and had no special knowledge.
FACTOR 3 Inducement	Did the statement induce the other party to enter the contract? Where the statement was the primary reason the promisee contracted, this supports treating it as a term.
FACTOR 4 Whether the Represor Undertook Responsibility	Did the representer undertake to take responsibility for the truth of the statement? A party who says 'I guarantee that the car has done only 20,000 miles' is more likely to have made a term than one who says 'I believe it has done only 20,000 miles.'

Heilbut Symons & Co v Buckleton [1913] HL	A defendant's manager told a prospective investor that his company was 'a rubber company.' The investor subscribed for shares. The company turned out not to be in the rubber business in any meaningful sense. HELD: The manager's statement was NOT a contractual warranty. It was merely a representation inducing the contract. The defendant had no special expertise in rubber companies. RULE: Whether a pre-contractual statement is a term or a mere representation depends on the parties' objectively ascertained intentions. The burden of establishing that a statement is a contractual warranty lies with the person who asserts it — the presumption is against a collateral warranty.
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7.3 Classification of Contractual Terms

TERM TYPE	DEFINITION AND CONSEQUENCE OF BREACH
CONDITION	A fundamental term that goes to the root of the contract. Breach of a condition entitles the innocent party to TERMINATE the contract AND claim damages. Conditions are classified either by express agreement or by the courts based on the significance of the term.
WARRANTY	A less fundamental term. Breach of a warranty entitles the innocent party to DAMAGES only — they cannot terminate the contract. The contract continues despite the breach.
INNOMINATE TERM (Intermediate Term)	An intermediate term where the consequence of breach depends on its severity. If the breach substantially deprives the innocent party of the whole benefit of the contract, the breach is treated as a breach of condition (right to terminate). If the consequences are minor, breach is treated as a warranty (damages only). <i>Hong Kong Fir Shipping v Kawasaki</i> [1962].

7.4 The Parol Evidence Rule

Where parties have reduced their agreement to writing, the parol evidence rule provides that extrinsic evidence (oral statements, prior negotiations, prior documents) is generally inadmissible to **ADD** to, **VARY**, or **CONTRADICT** the written contract. The written document is taken to be the complete and final expression of the parties' agreement.

- **RATIONALE:** Finality and certainty — the written document represents the parties' final bargain; pre-contractual negotiations may not reflect the final agreement.
- **EXCEPTIONS:** Parol evidence **IS** admissible to: (a) establish a collateral contract (a separate oral agreement); (b) establish that the written contract was subject to a condition precedent that has not been fulfilled; (c) demonstrate mistake, fraud, misrepresentation, or duress; (d) identify the parties or the subject matter; (e) show that the contract has been varied by a subsequent oral agreement.
- **CANADIAN MODIFICATION (Sattva Capital):** The Supreme Court has significantly moved toward a 'matrix of fact' approach — surrounding circumstances can inform the meaning of words in a written contract (see Interpretation chapter). This has eroded the strict parol evidence rule in Canada.

7.5 Contingent Agreements — Conditions Precedent and Subsequent

TYPE	DEFINITION	EFFECT IF CONDITION NOT MET
Condition Precedent	An event that must occur BEFORE the parties' obligations under the contract are activated. 'I will buy your house if I obtain mortgage financing by June 1.'	If the condition is not satisfied, the contract's main obligations never arise. Neither party is bound.
Condition Subsequent	An event whose occurrence brings an existing contractual obligation to an END . 'You will supply widgets until the war ends.'	Occurrence of the condition terminates the existing obligations. The contract ends automatically.

Where a condition is for the sole benefit of one party (e.g., a mortgage condition in a purchase agreement), that party may **WAIVE** the condition and proceed with the contract. Where the condition is a true condition precedent to the entire agreement, it cannot be waived unilaterally.

7.6 Collateral Contracts

A collateral contract is a separate, ancillary contract that exists alongside the main contract. The consideration for the collateral contract is typically the act of entering into the main contract. Collateral contracts are used to enforce oral statements that, under the parol evidence rule, cannot be incorporated into the written main contract as terms.

City & Westminster Properties (1934) Ltd v Mudd [1959]

A lease renewal excluded the tenant from using the premises for residential purposes. Before signing, the tenant's landlord orally promised that the tenant could continue to sleep on the premises. The lease said nothing about this. The landlord later sought to enforce the residential use prohibition. HELD: The oral promise was enforceable as a collateral contract. The consideration for the collateral promise was the tenant's act of entering into the lease. RULE: An oral statement that induces the other party to enter the main contract can be enforceable as a collateral contract, even if the parol evidence rule would otherwise exclude it from the written contract.

ELEMENTS OF A COLLATERAL CONTRACT:

- The statement must be clearly promissory in nature (a warranty, not a mere representation or opinion).
- The statement must have been intended to induce the other party to enter the main contract.
- The other party must have entered the main contract in reliance on the statement.
- The consideration for the collateral contract is the entry into the main contract.
- The collateral contract must not be inconsistent with the main contract — courts will not enforce a collateral contract that directly contradicts the express terms of the main contract.

Collateral Contracts and the Parol Evidence Rule

The parol evidence rule and the collateral contract doctrine operate in tension. The parol evidence rule prevents extrinsic evidence from being used to add to or vary a written contract. But the collateral contract doctrine allows oral statements to be enforced as a SEPARATE agreement — so they do not technically vary the written contract; they supplement it.

The test for whether an oral statement can constitute a collateral contract despite the parol evidence rule: is the oral statement CONSISTENT with the written contract, or does it CONTRADICT it? If consistent (supplements the written contract), a collateral contract is possible. If contradictory (tries to alter a specific written term), the parol evidence rule will likely prevail.

7.7 Entire Agreement Clauses

An 'entire agreement clause' (also called an 'integration clause' or 'merger clause') is a term in a written contract stating that the written document represents the entire agreement between the parties and that no representations, warranties, or collateral agreements exist outside of it. Such clauses directly target the collateral contract problem.

Example: 'This Agreement constitutes the entire agreement between the parties and supersedes all prior representations, warranties, and understandings, whether written or oral, relating to the subject matter hereof.'

Effect of an Entire Agreement Clause

- An entire agreement clause defeats collateral contract claims — if the parties have agreed that the written document is the entire agreement, there is no room for a collateral contract to supplement it.
- Canadian courts generally give effect to entire agreement clauses, respecting the parties' autonomy to define the scope of their agreement.
- LIMITS: An entire agreement clause does not prevent claims for MISREPRESENTATION — a false statement of fact that induced the contract can still be actionable (the clause does not make false statements true). The clause prevents the oral statement from being a CONTRACT term; it does not prevent it from being a misrepresentation.
- Under Bhasin and the duty of honest performance, a party who uses an entire agreement clause to shield dishonest pre-contractual conduct may find the clause scrutinized — active deception cannot be laundered by an entire agreement clause.

7.8 Classification of Terms — Hong Kong Fir in Depth

Hong Kong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd [1962] UK EWCA

A ship was chartered for a voyage. The charterparty stated the ship was 'seaworthy.' The ship was in fact not seaworthy — its engine room staff was incompetent. The ship spent five weeks at sea being repaired, and a further 15 weeks in port undergoing further repairs. The charterers purported to terminate the charterparty for breach of the seaworthiness term. HELD: The charterers could NOT terminate for breach of the seaworthiness term. The seaworthiness clause was an INNOMINATE TERM — not every breach of it entitled the innocent party to terminate. Since the consequences of the breach (20 weeks out of a 24-month charter — not catastrophic to the purpose of the charter) did not deprive the innocent party of substantially the whole of what they bargained for, the breach did not give a right to terminate. Damages only were available. THE INNOMINATE TERM DOCTRINE: (1) Not every contractual term is either a condition (always gives a right to terminate on breach) or a warranty (never gives a right to terminate). Some terms are innominate — their breach may or may not give a right to terminate depending on the consequences. (2) An innominate term breach gives the right to terminate ONLY if the breach deprives the innocent party of substantially the whole benefit of the contract. If the consequences are less severe, only damages are available.

Why the Innominate Term Matters for the Exam

In exam fact patterns where a party purports to terminate a contract for breach, you must classify the term:

- If the parties have expressly stated the term is a CONDITION (or the court identifies it as a condition by importance), any breach → right to terminate.
- If the parties have expressly stated it is a WARRANTY, no breach → right to terminate (damages only).
- If neither, it is likely an INNOMINATE TERM → ask: did the consequences of this breach deprive the innocent party of substantially the whole benefit? If yes → terminate; if no → damages only.
- Courts tend to classify terms as innominate unless clear evidence exists that strict condition status was intended — the innominate term category is the 'default' for ambiguous terms.

Chapter 8: Interpretation of Contracts

Even where the terms of a contract are clear, disputes may arise about what those terms MEAN. Interpretation is the process of determining the meaning of contractual language. Canadian courts apply an objective approach that considers the 'matrix of fact' — the surrounding circumstances — in which the contract was made.

8.1 The Objective Approach

Canadian contract law applies an objective approach to interpretation: the question is not what the parties subjectively believed the words meant, but what a reasonable person would understand them to mean in the circumstances.

8.2 The Sattva Capital Approach — Matrix of Fact

Sattva Capital Corp v Creston Moly Corp, 2014 SCC 53	A finder's fee agreement required payment in shares based on the share price at the time of the 'announcement' of the transaction. The parties disputed which 'announcement' date governed. HELD: The contract should be interpreted in its 'matrix of fact' — the surrounding circumstances known to both parties at the time of contracting. The court moved away from a purely text-based approach. RULES: (1) Contracts are interpreted in light of the surrounding circumstances — the 'factual matrix'; (2) The surrounding circumstances include: industry practices, background context, the parties' commercial purpose, and the subject matter; (3) Surrounding circumstances cannot be used to contradict or change clear contractual language — they help determine what ambiguous words mean; (4) The meaning of words in a contract is a QUESTION OF LAW (but the determination of surrounding circumstances is a QUESTION OF FACT — important for appellate review).
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8.3 Specific Rules of Interpretation

RULE	CONTENT
Ordinary Meaning	Words are given their ordinary, grammatical meaning unless the context clearly indicates a different meaning was intended.
Contextual Reading	Words are read in the context of the contract as a whole — a single clause is not read in isolation.
Contra Proferentem	Ambiguous language is construed against the party who drafted it (the drafter). Particularly important for exclusion and limitation clauses drafted by the stronger party.
Ejusdem Generis	Where a general word follows specific words, the general word is limited to things of the same kind as the specific words.
Expressio Unius	'The expression of one thing excludes others' — where a contract specifies certain items, the implication is that others are excluded.
Business Efficacy	Courts prefer interpretations that give the contract business efficacy over interpretations that make it commercially absurd or unworkable.
Prefer Consistency	Courts prefer interpretations that are internally consistent — all provisions of the contract should be reconcilable if possible.

8.4 Implied Terms

Terms may be implied into a contract by courts on several bases:

- **IMPLIED IN FACT — BUSINESS EFFICACY TEST** (The Moorcock [1889]): A term will be implied if it is necessary to give business efficacy to the contract — i.e., if without the implied term, the contract would not work in a commercially meaningful way. Test: what would be necessary to make the contract workable?
- **IMPLIED IN FACT — OFFICIOUS BYSTANDER TEST**: A term is implied if it is so obvious that if an officious bystander had suggested it at the time of contracting, both parties would have said 'of course!' without hesitation.
- **IMPLIED BY LAW — CLASS OF CONTRACTS**: Some terms are implied as a matter of law into certain classes of contract (e.g., the implied condition of merchantable quality in a sale of goods contract under the Sale of Goods Act; the duty to act in good faith in employment contracts).
- **IMPLIED BY CUSTOM**: Where a particular trade or industry has an established custom, terms consistent with that custom may be implied into contracts in that industry if the custom is reasonable, certain, and notorious.

⚠ **EXAM TIP — INTERPRETATION IN THE EXAM**

When a question involves a dispute about what a contractual term means, structure your answer: (1) What does the ordinary meaning of the words suggest? (2) What do the surrounding circumstances (Sattva matrix of fact) suggest? (3) If still ambiguous, apply *contra proferentem* against the drafter. (4) What does business efficacy require? In tendering questions, the interpretation of exclusion clauses in the tender documents is critical — always apply *contra proferentem* against the owner (who drafted the documents).

Chapter 9: Exclusion Clauses

Exclusion clauses (also called exemption clauses or limitation of liability clauses) attempt to exclude or limit one party's liability for breach or negligence. They are valid in principle (freedom of contract) but are subject to strict requirements and the Tercon three-step test. The NCA exam tests exclusion clauses in virtually every tendering question.

9.1 The Common Law Framework

Step 1: Incorporation

For an exclusion clause to operate, it must first be **INCORPORATED** into the contract:

- **BY SIGNATURE**: A signed document incorporating an exclusion clause is binding even if the signing party did not read it (*L'Estrange v Graucob*). However, misrepresentation about the clause's effect may prevent incorporation.
- **BY NOTICE**: An unsigned exclusion clause (on a ticket, receipt, or sign) is incorporated only if the party relying on it took **REASONABLE STEPS** to bring it to the other party's attention **BEFORE** or at the time of contracting. Notice after contracting (a receipt given after payment) is too late (*Thornton v Shoe Lane Parking*).
- **BY COURSE OF DEALING**: Where parties have a consistent course of dealing incorporating the same clause, it may be implied into a new contract even without express notice.

Step 2: Construction/Interpretation

Even if incorporated, the exclusion clause must be construed to cover the particular breach or loss:

- **STRICT CONSTRUCTION**: Exclusion clauses are construed strictly against the party seeking to rely on them. Any ambiguity is resolved against the drafter (*contra proferentem*).

- **NEGLIGENCE:** An exclusion clause will not generally be construed to exclude liability for NEGLIGENCE unless it does so in clear terms. Canadian courts require clear words or an unavoidable inference to exclude negligence liability.

9.2 The Tercon Three-Step Test — The Canadian Standard

Tercon Contractors Ltd v British Columbia, 2010 SCC 4	DEFINITELY ESTABLISHES THE THREE-STEP TEST for exclusion clauses in Canada. The Supreme Court unanimously adopted this framework, while splitting 5-4 on the interpretation of the specific clause: STEP 1 — INTERPRETATION: Does the exclusion clause, properly interpreted in context, cover the breach in question? If NO, the clause does not apply — end of analysis. STEP 2 — UNCONSCIONABILITY: Even if the clause applies as a matter of interpretation, was it unconscionable at the TIME THE CONTRACT WAS FORMED? If YES, the clause is unenforceable. STEP 3 — PUBLIC POLICY: Even if not unconscionable at formation, should the court decline to enforce the clause on grounds of PUBLIC POLICY? The onus lies with the party seeking to avoid the clause to establish that public policy requires non-enforcement. FUNDAMENTAL BREACH IS DEAD: The Supreme Court definitively abolished the doctrine of fundamental breach as an independent tool for avoiding exclusion clauses. Courts no longer ask whether a breach was 'so fundamental' as to allow the innocent party to escape the exclusion clause. The three-step test is the only analysis.
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TERCON THREE-STEP IN PRACTICE	
STEP 1 Interpretation	Read the exclusion clause carefully and precisely. What does it cover? Courts apply strict construction — if the clause says 'claims arising from participating in this RFP,' it covers claims by RFP participants, but NOT claims arising from the participation of a third party who was not permitted to participate (Tercon). Ambiguity → contra proferentem → against the drafter. KEY: Most exclusion clause disputes are resolved at Step 1. If the clause simply does not cover the breach (on its proper interpretation), Steps 2 and 3 are irrelevant.
STEP 2 Unconscionability	Was the clause unconscionable when the contract was made? This requires: (a) inequality of bargaining power between the parties; AND (b) the clause was an improvident bargain in light of that inequality. In commercial contexts between sophisticated parties (as in most tendering cases), it will be difficult to establish unconscionability — even where one party is the government. Tercon itself: Tercon (a major contractor) and BC (the province) — no unconscionability.
STEP 3 Public Policy	Even if the clause was not unconscionable at formation, should the court refuse enforcement on grounds of public policy? This is a HIGH bar. Public policy grounds for non-enforcement would include: a clause that enables deliberate fraud; a clause that conceals criminal activity; a clause that is antithetical to a fundamental value of the legal system. Courts are reluctant to invoke public policy as a basis for avoiding otherwise valid commercial arrangements. The dissent in Tercon (Binnie J.) expressed this view: a bidder who voluntarily entered the tendering process on the terms

offered should not be rescued by the courts from the consequences of their choice.

9.3 Standard Form Contracts and Unconscionability

Standard form contracts (take-it-or-leave-it contracts presented by one party) present special problems because the party receiving the standard form typically has no bargaining power to alter the terms. Exclusion clauses in standard form contracts are particularly scrutinized:

- Incorporation requires REASONABLE NOTICE of unusual or onerous terms — merely printing a clause in a standard form does not guarantee incorporation (Thornton v Shoe Lane Parking; Interfoto Picture Library v Stiletto).
- Where a term is particularly unusual or onerous, the drafter must take EXTRA STEPS to draw it to the other party's attention.
- Consumer protection legislation in various provinces (e.g., Ontario's Consumer Protection Act) imposes additional protections and may render certain exclusion clauses void.

⚠ EXAM TIP — EXCLUSION CLAUSES — EXAM TEMPLATE

Step 1: Has the clause been incorporated? (Signature → L'Estrange; Notice before contracting → Thornton; Course of dealing). Step 2: Apply Tercon Step 1 — does the clause cover THIS breach? (Strict construction; contra proferentem if ambiguous; does negligence require express mention?). Step 3: Apply Tercon Step 2 — was it unconscionable at formation? Step 4: Apply Tercon Step 3 — public policy grounds? In virtually all NCA exam scenarios involving commercial parties, Steps 2-3 will not succeed — the battle will be won or lost on Step 1 (interpretation).

9.4 Incorporation of Unusual or Onerous Terms — Special Requirements

The general rule is that a signed document is binding in full (L'Estrange). But where a document has not been signed, or where a term is unusually onerous or unusual, special steps must be taken to incorporate it.

Thornton v Shoe Lane Parking Ltd [1971] UK EWCA

Mr. Thornton drove into a parking garage. A ticket was issued by an automatic machine at the barrier. The ticket (which Thornton received only after the contract was formed) referred to conditions posted inside the garage. One condition excluded liability for injury. Thornton was injured by the garage's negligence. HELD: The exclusion clause was not incorporated. The contract was formed when Thornton inserted money into the machine and received the ticket — at that point the contract was concluded. Terms printed on the ticket or referred to on the ticket arrived too late. RULE: Notice of exclusion clauses must be given BEFORE or AT THE TIME of contracting — post-contractual notice is insufficient. Automatic vending machines make this analysis critical: the contract is formed by the automated acceptance, before the customer has a chance to read any ticket terms.

Interfoto Picture Library Ltd v Stiletto Visual Programmes Ltd [1989] UK EWCA

Interfoto lent transparencies to Stiletto. The transparencies came with a delivery note containing conditions. One condition provided for a holding fee of £5/day per transparency for returns more than 14 days late. Stiletto did not read the conditions and returned the transparencies late. Interfoto claimed £3,783 under the clause. HELD: The clause was NOT incorporated. While the conditions were referred

to on the delivery note, the holding fee clause was unusually onerous — £5/day was far higher than industry standard. The party seeking to rely on such an unusual and onerous clause must take SPECIAL STEPS to draw it to the other party's attention; merely including it in a standard form is insufficient. **RULE:** Where a term is unusually onerous or unusual compared to standard commercial practice, the party relying on it must take reasonable steps — beyond the ordinary — to bring it specifically to the other party's attention. The more onerous the term, the greater the notice required.

The Red Hand Rule

Lord Denning formulated the 'red hand rule' in *J Spurling Ltd v Bradshaw* [1956]: 'The more unreasonable a clause is, the greater the notice which must be given of it. Some clauses would need to be printed in red ink on the face of the document with a red hand pointing to it before the notice could be held to be sufficient.'

Application in Canadian law: While Canadian courts have not explicitly adopted the 'red hand rule' as a formal doctrine, they consistently hold that unusually onerous terms require heightened notice. In the context of standard form contracts and exclusion clauses, this means:

- Standard exclusion clauses in well-known locations (back of a ticket, bottom of a commercial invoice) may be incorporated with reasonable notice.
- Highly unusual penalty clauses, unusual fee structures, or liability caps that are far outside the industry norm require specific, prominent notice — highlighting, bolding, or explicit oral communication at the time of contracting.
- Consumer protection legislation in Ontario (Consumer Protection Act, 2002) codifies similar requirements for consumer contracts.

9.5 The Role of Previous Dealings in Incorporation

Where parties have a history of dealing on the same terms, the terms from previous contracts may be incorporated into a new contract by course of dealing — even without fresh notice on each transaction.

- **REQUIREMENT:** The previous dealings must be consistent and sufficiently numerous to support an inference that both parties knew the terms applied to all their transactions.
- **CONSUMER vs COMMERCIAL DISTINCTION:** Courts are more willing to find incorporation by course of dealing in commercial contexts (both parties are merchants) than in consumer contexts (where the individual may not appreciate that repeated dealings imply continuing terms).

Chapter 10: Good Faith and the Duty of Honest Performance

Bhasin v Hrynew, 2014 SCC 71, is a landmark decision that recognized, for the first time, a general organizing principle of good faith in Canadian contract law, from which flows a specific duty of honest performance. This is one of the most significant recent developments in Canadian contract law and is tested in the NCA exam.

10.1 The Organizing Principle of Good Faith (Bhasin)

Bhasin v Hrynew, 2014 SCC 71

FACTS: Bhasin was an enrollment director for Can-Am. Hrynew was a competitor who wanted to merge with Bhasin. Can-Am secretly

colluded with Hrynew to bring about the merger. Can-Am repeatedly misled Bhasin — it denied that merger plans existed, misrepresented Hrynew's role as auditor, and concealed that it had already committed to a restructuring plan. When Bhasin refused to allow Hrynew to audit his records, Can-Am exercised a non-renewal clause in Bhasin's contract. Bhasin lost the value of his business (\$87,000). HELD: Can-Am breached its duty of honest performance to Bhasin. The Supreme Court recognized: (1) GENERAL ORGANIZING PRINCIPLE: Good faith is a general organizing principle of the common law of contract — it underpins and informs various specific doctrines. (2) DUTY OF HONEST PERFORMANCE: Flowing from the organizing principle, there is a common law duty that applies to ALL contracts: parties must not lie or otherwise knowingly mislead each other about matters directly linked to the performance of the contract. (3) NOT A FREE-STANDING DUTY: The organizing principle of good faith is NOT a free-standing rule breach of which is independently actionable. It must manifest in specific doctrines. (4) NOT A DUTY OF DISCLOSURE: The duty of honest performance does not impose a positive duty to disclose — it merely requires that parties not ACTIVELY mislead each other. (5) NOT A FIDUCIARY DUTY: The duty does not require a party to forego advantages flowing from the contract or to subordinate their own interests to those of the other party.

10.2 Extension — CM Callow

**CM Callow Inc v Zollinger,
2020 SCC 45**

FACTS: Baycrest (a group of condominiums) had a two-year winter maintenance contract with Callow (CM Callow Inc). Baycrest also awarded Callow a summer maintenance contract. Baycrest decided internally to terminate the winter contract but said nothing to Callow. Throughout spring and summer 2013, Baycrest continued to discuss renewal of the winter contract, leaving Callow with the impression the contract was likely to be renewed. In September 2013, Baycrest exercised its termination clause (10 days' notice). Callow had done free extra work on the summer contract in the hope of securing the winter contract renewal. HELD: Baycrest breached its duty of honest performance. EXTENSIONS OF BHASIN: (1) The duty of honest performance applies to the EXERCISE OF RIGHTS under a contract, not just to the performance of primary obligations. (2) Actively misleading conduct — including half-truths, omissions, and even silence — can breach the duty of honest performance where it actively misleads the other party. (3) The test is whether the dishonest conduct was linked to the PERFORMANCE OF THE CONTRACT (broadly understood) — not whether it directly concerned performance of the contract's primary obligations.

10.3 What Good Faith Does and Does Not Require

GOOD FAITH REQUIRES	GOOD FAITH DOES NOT REQUIRE
Not lying to the other party about matters linked to contract performance	Active disclosure of facts unfavourable to your position
Not making misleading statements that are technically true but create a false impression	Subordinating your own commercial interests to those of the other party

Correcting a misapprehension that you have actively created through your conduct	Exercising contractual rights in a way the other party would prefer
Exercising discretionary powers under the contract honestly	Giving up advantages that the contract expressly provides

10.4 Good Faith as a Developing Area

The SCC has emphasized that good faith doctrine will develop incrementally. After Bhasin and Callow, Canadian courts continue to work out the boundaries:

- **RELATIONAL CONTRACTS:** Courts have been more willing to find good faith duties in long-term relational contracts (employment, franchise, distributorship) than in one-off commercial transactions.
- **DISCRETIONARY POWERS:** Where a contract confers a discretionary power on one party (e.g., the right to determine the amount of a bonus, to determine whether a condition is satisfied), that discretion must be exercised honestly and not capriciously.
- **LIMITS:** Good faith does not rewrite the contract. If the contract expressly authorizes certain conduct, the duty of honest performance does not prevent the party from taking that conduct — it only requires honesty in doing so.

⚠ EXAM TIP — GOOD FAITH — WHEN TO APPLY IT

Flag Bhasin/CM Callow whenever: (1) a party has been economical with the truth about its intentions; (2) a party has misled the other about material facts connected to performance; (3) a party has exercised a contractual right (like a non-renewal or termination clause) in a way that was dishonest. Do NOT apply good faith to argue that a party must give up a clear contractual right — good faith requires honesty, not generosity.

Chapter 11: Protecting Weaker Parties — Unconscionability, Duress, and Undue Influence

11.1 Unconscionability

Unconscionability is the doctrine that prevents enforcement of a contract where one party had significantly greater bargaining power and exploited that advantage to obtain a contract that was improvident for the weaker party. It is a doctrine of last resort — courts are reluctant to use it to rewrite commercial bargains.

Harry v Kreutziger (1978) BCCA

Harry, an Indigenous man with limited formal education, sold a boat and fishing licence to Kreutziger for \$4,500. The fishing licence alone was worth about \$16,000. Harry did not understand the value of the licence. **HELD:** The contract was unconscionable. The court set aside the contract on grounds of unconscionability. **THE TEST:** (1) Was there inequality of bargaining power between the parties? (2) Was the bargain improvident — grossly unfair or oppressive — to the weaker party? **RULE:** Both elements must be present. Mere inequality of power without an unfair result is insufficient; and a bad bargain without inequality of power is insufficient. The court emphasized that courts should consider the **OVERALL FAIRNESS** of the transaction, not merely whether the parties had equal negotiating leverage.

ELEMENT	CONTENT
INEQUALITY OF BARGAINING POWER	The weaker party suffers from: lack of education; lack of information; inability to understand the transaction; economic pressure; or vulnerability (age, illness, emotional distress). The disparity must be significant.
IMPROVIDENT BARGAIN	The contract as a whole is sufficiently unfair as to be 'improvident' — grossly unfair, oppressive, or one-sided. The test is not mere inadequacy of consideration; the disproportion must be such that no reasonable person with full information would have agreed.

11.2 Duress

Duress occurs where a party's consent to a contract is overborne by threats. Canadian law recognizes three forms of duress:

- **PHYSICAL DURESS:** Violence or threats of physical violence against a party (or their family). A contract obtained by physical duress is VOID.
- **ECONOMIC DURESS:** Illegitimate pressure (not mere hard bargaining) that leaves the party no practical alternative but to agree. The pressure must amount to coercion of will — the party's 'will was overborne.' Test: (1) Was there illegitimate pressure? (2) Was it a significant cause of the contract being entered?
- **SOCIAL OR PSYCHOLOGICAL DURESS:** Pressure falling short of physical threat but involving a surrender of will. Recognized in some cases but the threshold is high.

11.3 Undue Influence

Undue influence operates where one party has influence over another and uses it to obtain a contract that is not the free exercise of the dominated party's will.

- **PRESUMED UNDUE INFLUENCE:** Arises automatically in certain special relationships (parent-child; solicitor-client; doctor-patient; guardian-ward; religious adviser-congregant). Where such a relationship exists, the stronger party must demonstrate that the weaker party had INDEPENDENT ADVICE and acted freely.
- **ACTUAL UNDUE INFLUENCE:** Must be proved on the facts — the claimant must show that the other party exercised pressure or influence that prevented them from exercising free and independent judgment.

Lloyds Bank Ltd v Bundy [1975] UK EWCA

An elderly farmer, who relied entirely on the bank's advice, mortgaged his home to guarantee his son's debts. Lord Denning identified a broad principle of 'inequality of bargaining power' as the unifying basis for unconscionability, duress, undue influence, and related doctrines. Canadian courts have not fully adopted Lord Denning's broad principle but have drawn on it in unconscionability cases.

⚠ EXAM TIP — PROTECTING WEAKER PARTIES — EXAM APPROACH

When a fact pattern involves: (1) a significant disparity in sophistication between the parties (one is a corporation; one is an uneducated individual); (2) pressure or threats; (3) a grossly one-sided bargain — consider unconscionability (*Harry v Kreutziger*), duress, or undue influence. Always state BOTH elements of unconscionability. Note that commercial parties dealing at arm's length (like the tendering parties in *Tercon*) are generally not considered vulnerable even where one party is larger.

PART IV

VITIATING FACTORS — MISTAKE, MISREPRESENTATION, FRUSTRATION, AND ILLEGALITY

Chapter 12: Mistake

A mistake may prevent a contract from ever coming into existence, or may justify setting a contract aside. Canadian courts distinguish three types of operative mistake: common mistake, mutual mistake, and unilateral mistake. The threshold for invalidity is HIGH — courts are reluctant to upset concluded bargains on grounds of mistake.

12.1 Common Mistake (Both Parties Make the Same Mistake)

Common mistake (also called 'shared mistake') arises where both parties are mistaken about the SAME fundamental matter. Their intentions match, but both are wrong about some underlying fact.

Bell v Lever Brothers Ltd [1932] HL

Bell and D'Arcy served as directors of a Lever Brothers subsidiary. Lever Brothers paid them £50,000 in compensation for terminating their contracts early. It later turned out that Bell and D'Arcy had committed undisclosed breaches that would have allowed Lever Brothers to dismiss them without compensation. Lever Brothers sought to recover the £50,000, arguing common mistake about the directors' entitlement to compensation. HELD: No operative common mistake. The contract was binding. Lever Brothers received exactly what it bargained for — the termination of the employment contracts. RULE: Common mistake only nullifies a contract where the mistake is 'fundamental' and goes to the very root of the matter — it must be so fundamental that it renders the subject matter of the contract essentially different from what it was believed to be. This is an extremely high threshold. A mistake about the VALUE or quality of the subject matter, however significant, is generally not sufficient.

Solle v Butcher — Equitable Mistake

English law has recognized a broader equitable doctrine of common mistake (Solle v Butcher [1950]) that allows rescission (not void) on more flexible grounds. However, The Great Peace [2003] UK EWCA curtailed this equitable doctrine in England. Canadian courts have not consistently adopted or rejected the equitable doctrine — the law remains somewhat unsettled.

12.2 Mutual Mistake (Parties Are at Cross-Purposes)

Mutual mistake arises where the parties have different (non-matching) intentions and are at cross-purposes. Unlike common mistake, where both parties share the same wrong belief, in mutual mistake each party has a different (wrong) understanding.

Raffles v Wichelhaus [1864]

A contract for the sale of cotton to arrive 'ex Peerless from Bombay.' There were two ships named 'Peerless' sailing from Bombay — one in October and one in December. The buyer meant the October Peerless; the seller meant the December Peerless. HELD: No binding contract. The parties were at cross-purposes about the subject matter (which Peerless). Since neither meaning was more objectively reasonable than the other, there was no consensus ad idem — no meeting of the minds. RULE: Where parties are at cross-purposes about a fundamental matter and one meaning cannot be preferred over the other, there is no contract.

12.3 Unilateral Mistake (Only One Party Is Mistaken)

Unilateral mistake arises where one party is mistaken, and the other party knows (or should know) about the mistake. If the non-mistaken party knowingly takes advantage of the other's mistake, equity may intervene.

Smith v Hughes [1871]

Hughes bought oats from Smith. Hughes believed the oats were 'old oats' (which he needed for horse feed) but they were new oats (which he did not want). Smith knew nothing of Hughes' mistake about the type of oats. Hughes refused to pay. HELD: Binding contract. Hughes was mistaken as to the quality of what he was buying — not as to the subject matter itself (which was clearly oats). Smith had not misrepresented anything. RULE: A unilateral mistake as to quality (rather than identity of the subject matter) does not void a contract. The objective test applies — where one party has said or done nothing to induce the mistake, the contract stands. BUT: where one party knows the other is mistaken and says nothing to correct that mistake, the non-disclosure may be relevant.

Boulton v Jones [1857]

Boulton had purchased a business from Brogden. Jones sent an order to Brogden (not knowing of the sale) for goods. Boulton filled the order. Jones refused to pay Boulton, arguing he had contracted with Brogden (with whom he had a set-off). HELD: Jones was not bound to accept the goods from Boulton. Jones was mistaken as to the IDENTITY of the party with whom he was contracting — not merely as to the quality of what he was receiving. Where the identity of the contracting party is fundamental, a unilateral mistake about identity may void the contract.

12.4 Non Est Factum

Non est factum ('it is not my deed') is a doctrine allowing a party to deny being bound by a document they signed if: (1) the document was fundamentally different from what they believed they were signing; and (2) they were not careless in signing. This doctrine is narrowly applied — mere failure to read a document is insufficient.

12.5 Rectification

Where the parties reached a concluded oral agreement, and then reduced it to writing but made an error in the written document, equity may RECTIFY the document to reflect the true agreement. Rectification corrects a clerical or recording error; it does not allow the court to substitute a better bargain.

⚠ EXAM TIP — MISTAKE IN THE EXAM

Most mistake questions fail at the threshold — the alleged mistake is not 'fundamental' enough (*Bell v Lever Brothers*). Work through the type of mistake first (common, mutual, unilateral), then apply the specific test for each type. For common mistake: is the subject matter essentially different? For mutual mistake: are the parties genuinely at cross-purposes about a fundamental term? For unilateral mistake: did the non-mistaken party know or did the mistake relate to identity? In sample exam Q4 (*David Peier and CDL*), the buried power lines were supposed to be a condition of the contract — this raises issues of misrepresentation and conditions, not classic mistake.

Chapter 13: Misrepresentation

A misrepresentation is a false statement of fact made by one party to the other that induces the contract. Misrepresentation differs from breach of a contractual term: the misrepresentation occurs BEFORE the contract is formed, and may give rise to remedies even though the false statement was not incorporated as a contractual term.

13.1 Elements of Misrepresentation

ELEMENTS OF ACTIONABLE MISREPRESENTATION	
ELEMENT 1 False Statement of Fact	The statement must be one of FACT, not opinion, intention, or law. 'This car is worth £2,000' — opinion. 'This car has done 20,000 miles' — fact. EXCEPTION — Opinion as fact: Where the representor has special expertise or knowledge, a statement of opinion may carry an implied representation that they have reasonable grounds for that opinion. <i>Esso Petroleum v Mardon</i>: an oil company that represented (based on its expertise) that a petrol station would sell 200,000 gallons/year was held liable for negligent misrepresentation. SILENCE: Generally, there is no duty to volunteer information. Non-disclosure is not misrepresentation. EXCEPTIONS: (a) where the representor knows the other party is labouring under a misapprehension that the representor created; (b) where the facts change after a true statement was made; (c) where the relationship is one of <i>uberrimae fidei</i> (utmost good faith — insurance contracts).
ELEMENT 2 Made By or on Behalf of the Defendant	The false statement must have been made by the party sought to be held liable, or by their agent (e.g., a real estate agent, sales representative).
ELEMENT 3 Induced the Contract	The claimant must have RELIED on the false statement and been induced to enter the contract as a result. If the claimant knew the statement was false, or did not rely on it, there is no actionable misrepresentation. The inducement need not be the SOLE cause of entering the contract — a material inducement is sufficient.

13.2 Types of Misrepresentation

TYPE	STANDARD	REMEDIES
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FRAUDULENT	The representor made the statement knowing it was false, or recklessly as to its truth or falsity (Derry v Peek: 'false, without belief in its truth, or recklessly, careless whether it be true or false').	Rescission of the contract AND damages in deceit (tort of fraudulent misrepresentation). Damages in deceit are NOT limited by remoteness — all direct loss is recoverable.
NEGLIGENT	The representor made the statement carelessly without reasonable grounds for believing it to be true, in circumstances where there was a duty of care (Hedley Byrne v Heller — negligent misstatement in tort; Esso Petroleum v Mardon).	Rescission AND damages in tort for negligent misrepresentation. Damages are limited by reasonable foreseeability.
INNOCENT	The representor had reasonable grounds for believing the statement was true.	RESCISSION only (no damages). The right to rescission may be barred by: affirmation; lapse of time; impossibility of restoration; rights of third parties.

Esso Petroleum Co Ltd v Mardon [1976] UK

Esso's expert told Mardon (a prospective tenant of a petrol station) that the station would sell 200,000 gallons per year. The estimate was based on a negligent assessment. Mardon relied on this and took the tenancy. Sales were far lower. HELD: Esso was liable in tort for negligent misrepresentation (Hedley Byrne duty of care applied) and also in contract because the statement was a collateral warranty. RULE: Where a representor with special knowledge makes a statement intending it to be relied upon, and a duty of care exists, negligent misrepresentation gives rise to damages in tort. The statement may ALSO constitute a contractual warranty.

13.3 Rescission — The Misrepresentation Remedy

Rescission sets aside the contract and restores the parties to their pre-contractual positions. It is available for all three types of misrepresentation. The right to rescind may be lost (barred) by:

- **AFFIRMATION:** The innocent party, with knowledge of the misrepresentation, affirms the contract by continuing to perform or by otherwise indicating they intend to be bound.
- **LAPSE OF TIME:** Delay in seeking rescission may defeat the right — particularly for innocent misrepresentation.
- **IMPOSSIBILITY OF RESTORATION:** Where the parties cannot be returned to their pre-contractual positions (e.g., goods consumed or substantially altered), rescission may not be available.
- **THIRD PARTY RIGHTS:** Where a third party has acquired rights in the subject matter, rescission cannot be granted to the detriment of the third party.

⚠ EXAM TIP — SAMPLE EXAM Q4 — MISREPRESENTATION + TERMS

In sample exam Q4, Margaret (CDL's agent) told David that the hydro power lines would be buried and that this 'could be part of the agreement.' Key issues: (1) Was this a representation or a contractual term? It was stated as a condition that 'could be part of the agreement' — which is arguably a term that was agreed to orally (David said 'as long as this condition was part of the agreement, I will pay'). The cheque notation supports the existence of the contract. (2) If a representation: was it false? Yes (lines not buried). Was it a misrepresentation? Yes. What type? At least innocent (possibly negligent). Rescission or damages available. (3) CDL's argument: David did

not notice the omission from the written agreement — waiver? But the condition was clearly agreed to orally. The parol evidence rule battle is the central issue.

13.4 Negligent Misrepresentation — Hedley Byrne Framework

Negligent misrepresentation is an action in TORT — distinct from breach of a contractual term and from fraudulent misrepresentation. Its recognition fundamentally expanded liability for carelessly made statements that induce loss.

Hedley Byrne & Co Ltd v Heller & Partners Ltd [1964] HL

Hedley Byrne was an advertising firm that extended credit to Easipower Ltd in reliance on a favourable credit reference given by Easipower's bank (Heller) without any disclaimer. Easipower went into liquidation and Hedley Byrne lost £17,000. They sued Heller in negligence for the careless credit reference. HELD: In principle, a negligent misstatement causing PURELY ECONOMIC LOSS (not physical injury or property damage) can ground a tort claim for negligence. However, the bank was protected on the facts because it gave the reference 'without responsibility.' THE DUTY OF CARE FOR NEGLIGENCE MISSTATEMENT: A duty of care arises when: (1) the defendant has SPECIAL SKILL or knowledge relevant to the matter; (2) the defendant knows (or ought to know) that the plaintiff will RELY on the advice or information; (3) it is reasonable in all the circumstances for the plaintiff to rely on the defendant's expertise; and (4) there is a sufficient relationship of PROXIMITY between the parties. RULE: The duty does not arise for every careless statement. It requires the 'assumption of responsibility' by the defendant — a voluntary undertaking that the information will be reliable, and the plaintiff's reasonable reliance on that undertaking.

Queen v Cognos Inc [1993] SCC

The leading Canadian Supreme Court case applying Hedley Byrne to employment contexts. Cognos's interviewer negligently misrepresented the nature and security of an available position to Cognos. After being hired and relocating, the position was eliminated. HELD: Cognos was liable for negligent misrepresentation during pre-contractual negotiations. SCC confirmed that the Hedley Byrne duty applies in Canada. The court articulated five elements of the tort: (1) a duty of care based on a special relationship; (2) a representation that was untrue, inaccurate, or misleading; (3) the defendant acted negligently; (4) the plaintiff reasonably relied on the representation; (5) the reliance caused detriment.

When Negligent Misrepresentation Applies in Contract Disputes

In most NCA exam fact patterns, the negligent misrepresentation issue arises in one of three contexts:

- **PRE-CONTRACTUAL STATEMENTS:** A party makes a carelessly false statement during negotiations that induces the contract. Both the contract (collateral warranty or misrepresentation) and the tort (negligent misstatement under Hedley Byrne) may apply simultaneously.
- **PROFESSIONAL ADVICE:** A solicitor, accountant, real estate agent, or other professional provides careless advice on which the client relies. The Hedley Byrne duty clearly applies in professional relationships.
- **COMMERCIAL REPRESENTATIONS:** A commercial party provides information (e.g., a bank giving a credit reference; a company providing financial projections to an investor) on which the recipient relies. Special skill + reliance + proximity = duty.

13.5 Bars to Rescission — Full Analysis

Even where a misrepresentation is established, the right to rescission may be lost. All four bars apply to innocent misrepresentation; only some apply to fraudulent or negligent misrepresentation.

BAR TO RESCISSION	DETAIL AND CASE
AFFIRMATION	The innocent party, with full knowledge of the misrepresentation, elects to continue with the contract. May be express ('I accept the terms despite the problem') or implied from conduct (continuing to perform after discovering the misrepresentation without protest). Affirmation bars rescission even for fraudulent misrepresentation.
LAPSE OF TIME	Delay in seeking rescission can bar it. For innocent misrepresentation, the right to rescind may lapse quickly. For fraudulent misrepresentation, time runs from discovery — not from the date of the representation. Courts are less generous with time where the representee had means to discover the truth.
RESTITUTIO IN INTEGRUM IMPOSSIBLE	Rescission restores both parties to their pre-contractual position. If this is impossible (goods consumed, property substantially altered, third parties involved, parties cannot be put back to their original positions), rescission is not available. Courts may grant rescission with compensation (a modified rescission) in equity to approximate the original positions.
THIRD PARTY RIGHTS	If the contract has been performed and rights have passed to an innocent third party, rescission cannot be granted to the detriment of that third party. Example: A purchased goods from B based on B's misrepresentation. B sold the goods to C (who bought in good faith). A cannot rescind against B in a way that affects C's title.

13.6 Damages for Misrepresentation

TYPE	DAMAGES BASIS AND SCOPE
FRAUDULENT MISREPRESENTATION	All direct consequences of the fraudulent statement — no requirement of foreseeability. The plaintiff is put in the position they would have been in had the representation NOT been made. Can include consequential losses flowing from the fraud regardless of foreseeability. <i>Doyle v Olby (Ironmongers)</i> : all loss caused by the fraud is recoverable, not merely foreseeable loss.
NEGLIGENT MISREPRESENTATION (TORT)	Damages under the Hedley Byrne duty — foreseeable loss only, limited by the reasonable contemplation test. The plaintiff is put in the position they would have been in HAD THE STATEMENT NOT BEEN MADE (reliance basis) — not in the position had the statement been true (no expectation recovery in tort).
INNOCENT MISREPRESENTATION	Rescission only at common law. Courts of equity may award an indemnity (reimbursing expenditures made under the contract) but not general damages. In Ontario, the Misrepresentation Act may provide a broader discretion (depending on jurisdiction and whether the statute applies).

Chapter 14: Frustration

Frustration discharges a contract where, after formation, an unforeseen supervening event makes performance **RADICALLY DIFFERENT** from what was undertaken — not merely more difficult or expensive. Frustration is one of the most tested doctrines on the NCA Contracts exam — it appears in both sample exam Q2 and Q3.

14.1 The Test for Frustration

Davis Contractors Ltd v Fareham Urban District Council [1956] HL

Davis contracted to build 78 houses for a fixed price in 8 months. Due to labour and material shortages (not the fault of either party), the work took 22 months and cost far more. Davis argued frustration to recover additional compensation. HELD: The contract was NOT frustrated. The shortage of labour and materials was not unforeseeable as a matter of commercial risk; the contract had not become 'radically different.' Davis bore the risk of increased costs. **THE TEST FOR FRUSTRATION** (Lord Radcliffe): 'Frustration occurs whenever the law recognises that without default of either party a contractual obligation has become incapable of being performed because the circumstances in which performance is called for would render it a thing radically different from that which was undertaken by the contract.' **RULE:** Frustration requires that performance has become **RADICALLY DIFFERENT** — not merely more difficult, expensive, or inconvenient. The doctrine applies **NARROWLY**.

14.2 Categories of Frustrating Events

CATEGORY	CASE AND EXPLANATION
Destruction of the Subject Matter	Taylor v Caldwell [1863]: A music hall hired for concerts burned down before the concerts. HELD: Frustrated. Both parties contracted on the assumption that the hall would exist — its destruction made performance impossible. The contract was an implied condition that the hall would continue to exist.
Death or Incapacity (Personal Contracts)	Where a contract requires the personal performance of a specific individual and that person dies or becomes permanently incapacitated, the contract is frustrated. Applies to employment contracts and personal service contracts.
Supervening Illegality	Where a change in law makes performance illegal AFTER the contract was formed, the contract is frustrated. Sample exam Q3B: BDL contracted to build a bridge; subsequent legislation made pile-driving illegal without ministerial approval. The contract was frustrated (or at least its original mode of performance was rendered illegal).
Failure of the Contemplated Basis	Krell v Henry [1903]: Henry hired a room to watch King Edward VII's coronation procession. The King fell ill and the coronation was postponed. HELD: Frustrated. The sole purpose of hiring the room was to watch the procession; the failure of the procession destroyed the purpose of the contract. DISTINGUISH: Herne Bay Steam Boat Co v Hutton [1903]: A boat was hired to watch the naval review. The review was cancelled. NOT frustrated — the boat could still be used for cruises. Where multiple purposes existed and only one was defeated, frustration may not apply.

Supervening Impossibility of a Specific Method

Where the contract specifies a particular method of performance and that method becomes impossible, frustration may apply. But where alternative methods are available (even more costly), frustration will NOT apply.

14.3 What Frustration Is NOT

- **INCREASED COST OR DIFFICULTY:** A contract is not frustrated merely because performance has become more expensive or difficult. Davis Contractors: more expensive construction due to labour shortages = NOT frustrated. The doctrine does not protect parties from bad bargains.
- **FORESEEABLE RISK:** If the supervening event was within the reasonable contemplation of the parties at the time of contracting, it cannot frustrate the contract — the party assumed the risk of it occurring. Sample exam Q2 (carpet blockades): the possibility that carpet supplies might be disrupted by Middle East blockades may or may not have been foreseeable — this is a key factual issue.
- **SELF-INDUCED FRUSTRATION:** A party cannot rely on frustration if they caused or contributed to the frustrating event (Maritime National Fish Ltd v Ocean Trawlers).

14.4 Consequences of Frustration — The Frustrated Contracts Act (Ontario)

At common law, frustration discharged both parties from future obligations but did not address the consequences of performance already rendered. The common law rules were unsatisfactory (Fibrosa: advance payments could be recovered only if there was a total failure of consideration). Ontario's Frustrated Contracts Act, RSO 1990, c. F.34, provides:

- **PREPAID AMOUNTS:** Money paid before frustration is recoverable; money due but not yet paid ceases to be due.
- **BENEFIT ALREADY CONFERRED:** Where one party has conferred a valuable benefit on the other before frustration (e.g., partially completed work), a court may order the other party to pay a sum representing the value of that benefit — the 'just sum.'
- **EXPENSES:** The court may allow a party who has incurred expenses in performance to retain a sum in respect of those expenses out of any prepayments.
- **ADJUSTMENT FOR GAIN:** The Act is designed to prevent unjust enrichment — it adjusts the parties' positions to reflect what is fair, not merely to apply strict contract law.

⚠ EXAM TIP — FRUSTRATION — THE TWO-PART QUESTION

PART 1: Is the contract frustrated? (a) Identify the supervening event; (b) Apply Davis Contractors — is performance **RADICALLY DIFFERENT**? (c) Check: was the event foreseeable? Was it self-induced? Is the contract merely more difficult or expensive (not frustrated)? For sample exam Q3A: BDL's original pile-driving plan became impossible (riverbed changed) — this is a good frustration argument. For Q3B: the Navigable Waters Act made the original contract illegal — clear supervening illegality = frustration. PART 2: If frustrated, what are the consequences? Apply the Frustrated Contracts Act — can BDL recover the value of work done? Can the deposit be returned?

14.5 The Frustrated Contracts Act (Ontario) — Detailed Analysis

The Ontario Frustrated Contracts Act, RSO 1990, c. F.34, fundamentally alters the common law position on the consequences of frustration. The common law (Chandler v Webster, subsequently modified by Fibrosa) left frustrated parties in an unsatisfactory position — money paid before frustration was recoverable only if there was a total failure of consideration. The Act provides a more nuanced framework.

The Common Law Position Before the Act — The Problem

Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd [1943] HL

An English company contracted to supply machinery to a Polish company. The German invasion of Poland frustrated the contract. The Polish company sought return of a £1,000 advance payment. The machinery had not been delivered (total failure of consideration). HELD: The advance was recoverable — there had been a total failure of consideration. However: where a party has done PARTIAL performance before frustration, and the other party has received some benefit, the common law offered no remedy — money paid where there was partial (not total) failure of consideration was not recoverable at common law. This injustice led to the Frustrated Contracts Act.

The Act's Three Core Mechanisms

FRUSTRATED CONTRACTS ACT — THREE MECHANISMS	
MECHANISM 1 Monetary Obligations	S.3(2): Money paid before discharge is recoverable. Money payable before discharge but not yet paid ceases to be payable. Effect: Parties are returned to their pre-frustration monetary positions with respect to the primary obligations. If A paid B \$50,000 before frustration, A recovers \$50,000. If B owed A \$30,000 but had not yet paid, the \$30,000 obligation is extinguished. Sample exam Q3B application: BDL deposited \$30,000 with the City. If the contract was frustrated by the Navigable Waters Act, BDL can recover the \$30,000 deposit. The City's obligation to pay BDL the contract price (\$250,000) that had not yet been paid ceases to be owing.
MECHANISM 2 Valuable Benefit Conferred	S.3(3): Where a party has conferred a VALUABLE BENEFIT on the other before discharge, a court may order the other party to pay a 'just sum' for that benefit — up to the value of the benefit. Effect: A party who has partially performed before frustration can recover the value of what they provided — preventing unjust enrichment. The 'just sum' is assessed by the court having regard to: (a) the effect of circumstances giving rise to frustration on the value of the benefit; (b) the sum of money paid to the party claiming the benefit; (c) any pre-frustration expenses of the party against whom the claim is made. Sample exam Q3C application: BDL completed the bridge. The City has received the bridge (a valuable benefit worth \$350,000 at BDL's cost, though the contract price was \$250,000). Under s.3(3), BDL can claim a 'just sum' representing the value of the benefit conferred. BUT: the bridge was built in violation of the Navigable Waters Act — courts would consider whether the illegality of the bridge affects the value of the benefit. The court has discretion to determine the 'just sum' and may reduce it to account for: (a) the illegal element; (b) the fact the City's contract price was \$250,000 — the cap on the valuable benefit claim; (c) BDL's own responsibility for not obtaining approval.
MECHANISM 3 Pre-Frustration Expenses	S.3(3) also allows a court to take into account EXPENSES incurred by a party before discharge in assessing the just sum. Courts may allow the performing party to retain a sum in respect of expenses from any money paid to them. Effect: A party who spent money preparing to perform before the frustrating event may retain some of what was paid to them (if they received any

payment) to offset those expenses. This prevents unjust enrichment of the other party who may have benefited from the preparation work.

Example: A caterer who spent \$2,000 on food before a wedding contract was frustrated may retain that \$2,000 from the \$5,000 deposit — rather than returning the full deposit.

Quantum Meruit and Frustrated Contracts

Where the Frustrated Contracts Act does not apply (because the contract is governed by a jurisdiction that does not have equivalent legislation, or because the parties have contracted out of it), the common law remedy of QUANTUM MERUIT may be available to a party who has partly performed:

- Quantum meruit ('as much as is deserved') allows recovery of the reasonable value of services rendered or goods supplied.
- In a frustrated contract, the party who performed before frustration may recover the market value of their performance on a quasi-contractual (restitutionary) basis — to prevent the other party's unjust enrichment.
- The claim is for the VALUE of what was provided — NOT for the contract price. The contract price is evidence of value but does not cap the recovery if the reasonable value exceeds it.
- In sample exam Q3C, if the Act does not provide a sufficient remedy, BDL might claim quantum meruit for the reasonable value of the bridge they built (\$350,000 was the cost; the 'just sum' for a bridge with some illegality issues might be lower).

Chapter 15: Illegality and Public Policy

Contracts that are illegal at the time of formation, or that require illegal performance, may be void and unenforceable. Courts are also reluctant to enforce contracts that, while not technically illegal, offend against public policy.

15.1 Contracts Illegal at Formation

A contract is illegal at the time of formation if:

- It requires performance of an act that is a crime or tort (e.g., a contract to commit assault).
- It violates an express statutory prohibition (e.g., a contract that violates the Competition Act).
- It is made without a required licence (e.g., a contractor performs work without a required licence).

15.2 Contracts Illegal as Performed

A contract that is legal when formed may become illegal if the method of performance chosen is illegal (e.g., a contract to transport goods where the transportation involves smuggling). The illegality may taint the entire contract or only the illegal element.

15.3 Public Policy Grounds

Even without technical illegality, courts will refuse to enforce contracts that offend against public policy. Common categories:

- RESTRAINT OF TRADE: Agreements in restraint of trade (e.g., employee non-compete clauses, exclusive dealing arrangements) are void UNLESS: (a) they protect a legitimate business interest; (b)

they are reasonable in scope (geographic area, duration, subject matter); and (c) they do not injure the public interest. Courts assess reasonableness between the parties and from the perspective of the public.

- **CONTRACTS TO OUST JURISDICTION:** Agreements to prevent parties from resorting to the courts are void, though arbitration clauses (channelling disputes to arbitration rather than courts) are generally valid.
- **CONTRACTS PROMOTING FRAUD OR CORRUPTION:** Contracts designed to defraud third parties or involving bribery are void.

15.4 Consequences of Illegality

The general rule is that courts will not assist either party to an illegal contract (*ex turpi causa non oritur actio* — no action arises from a base cause). Both parties may be left where they stand. However:

- **RESTITUTION** may be available if: the parties are not equally at fault (*in pari delicto*); one party repented before the illegal purpose was carried out; the illegal purpose was incidental to the contract rather than its main purpose.
- **SEVERANCE:** Courts may sever the illegal portion of a contract (especially in restraint of trade cases) and enforce the remainder if the lawful part can stand on its own.

△ EXAM TIP — ILLEGALITY — SAMPLE EXAM Q3B AND Q3C

Sample exam Q3B: After BDL contracted to build the bridge, the Navigable Waters Act was enacted requiring ministerial approval. BDL could not get approval. This is **SUPERVENING ILLEGALITY** (not illegality at formation) — a species of frustration. The contract (as originally specified) became illegal to perform after formation. For Q3C: BDL built the bridge without ministerial approval. The bridge may violate the Act. Can BDL recover \$350,000 from the City? Key issues: (1) Is the contract void for illegality? The Minister indicated prosecution was unlikely — but the illegality still exists as a matter of law; (2) Can BDL recover in quantum meruit (restitution) for the value of the bridge built? The City has received the bridge — unjust enrichment? The resolution depends on how courts balance: enforcement of public law (the Act) vs unjust enrichment of the City.

15.5 Restraint of Trade — Detailed Analysis

Restraint of trade clauses are among the most practically significant application of the illegality and public policy doctrine. They arise in employment agreements, sale of business agreements, and franchise agreements. The test is the same in all contexts but the courts' assessment of reasonableness varies significantly between them.

The General Test for Validity

A restraint of trade clause is **PRIMA FACIE VOID** but will be enforced if:

- (1) It protects a **LEGITIMATE INTEREST** of the party imposing it.
- (2) It is **REASONABLE** as between the parties — not more extensive than necessary to protect that interest.
- (3) It is **REASONABLE** in the public interest — does not unduly harm competition or the public generally.

Employment Context

Non-competition and non-solicitation clauses in employment contracts are strictly scrutinized. The employer's legitimate interests in an employment context are narrower than in a sale of business:

- **LEGITIMATE INTERESTS (employment):** Trade secrets, confidential information, and in some cases, client relationships or customer connections.
- **NOT LEGITIMATE:** Protection from mere competition by a departing employee without access to trade secrets or special skills.

- **REASONABLENESS:** Geographic, temporal, and subject matter limitations must all be proportionate. A Canada-wide, 5-year, all-industry non-compete for a junior employee is unenforceable.
- **ONTARIO:** Bill 27 (Working for Workers Act, 2021) effectively prohibited non-compete agreements in employment contracts for most employees in Ontario — this is a recent statutory development candidates should be aware of.

Sale of Business Context

Restraint of trade clauses in sale of business agreements are accorded far more latitude. The vendor who sells their business has received consideration (the purchase price) that includes the value of the goodwill being protected. The restraint is an integral part of the transaction.

- **LEGITIMATE INTEREST:** The protection of the goodwill transferred is a legitimate and important interest.
- **REASONABLENESS:** Broader geographic, temporal, and subject matter scope is permissible — reflecting the fact that the vendor has been compensated for giving up the right to compete.
- **Example:** A clause prohibiting the vendor of a regional dental practice from operating a dental practice within 50 km for 5 years is more likely to be enforced than an equivalent clause in an employment agreement with an employee-dentist.

Severance of Invalid Restraint Clauses

Where only PART of a restraint clause is invalid (e.g., the geographic scope is too broad but the temporal scope is reasonable), courts may be able to SEVER the invalid portion and enforce the remainder — if the clause was drafted in severable units (e.g., 'Province of Ontario and Canada' — the 'Canada' can be severed).

- The 'blue pencil' test: the court strikes out the offending words, leaving the remainder, which must be grammatically complete and must not change the essential character of what remains.
- Canadian courts have been willing to use severance more liberally in commercial (sale of business) restraint contexts than in employment contexts.

PART V

REMEDIES FOR BREACH OF CONTRACT

Chapter 16: Remedies for Breach of Contract

Remedies is the most consistently tested topic on the NCA Contracts exam. Both sample exams contain substantial remedies questions. The law of remedies reflects contract law's underlying goal: to put the innocent party in the position they would have been in **HAD THE CONTRACT BEEN PERFORMED** — not merely to reimburse what was lost.

16.1 The Three Interests Protected by Contract Remedies

THREE PROTECTED INTERESTS	
EXPECTATION INTEREST (Most Common)	The expectation interest gives the plaintiff the BENEFIT OF THE BARGAIN — it puts them in the position they would have been in IF THE CONTRACT HAD BEEN PERFORMED . Expectation damages are the standard remedy for

	breach of contract. Computation: [Position plaintiff would be in if contract performed] MINUS [plaintiff's actual position] = expectation loss. Example: Contractor promises to build a house for \$200,000. Cost of building properly is \$250,000. Expectation damages = \$50,000 (the difference between what was promised and what would have cost if performed properly). Or: the difference between the value of what was promised and what was delivered.
RELIANCE INTEREST (Wasted Expenditure)	The reliance interest reimburses the plaintiff for expenditures incurred in RELIANCE on the defendant's promise. It puts the plaintiff in the position they would have been in HAD THEY NEVER ENTERED THE CONTRACT. When used: Where expectation loss is difficult to prove (e.g., speculative profits), or where the plaintiff expended money before the contract was even formed in anticipation of it. Anglia Television Ltd v Reed [1972]: An actor's breach led to abandonment of a TV production. Anglia recovered pre-contractual wasted expenditure (scouting locations, costume design) incurred in anticipation of the contract. RULE: Reliance damages may include expenditures incurred BEFORE the contract was formed, if they were within the reasonable contemplation of the defendant as likely to be wasted if they breached.
RESTITUTION INTEREST (Preventing Unjust Enrichment)	The restitution interest prevents the defendant from being unjustly enriched at the plaintiff's expense. It restores to the plaintiff the value of any benefit they have conferred on the defendant. Quantum meruit ('as much as he deserved'): Where one party has done work under a contract that is void or that the other party has repudiated, they may recover the reasonable value of the work done. Big difference from expectation: Restitution cannot exceed the value of the benefit conferred — it does not give the plaintiff the benefit of the bargain.

16.2 Limitations on Expectation Damages

Limitation 1: Remoteness — Hadley v Baxendale

Hadley v Baxendale [1854]	A mill shaft broke and the mill was stopped. The millers sent the shaft to be repaired and told the carrier they needed it returned quickly. The carrier delayed, causing the mill to be idle longer than necessary. HELD: The lost profits from the delayed reopening were too remote. TWO LIMBS OF THE REMOTENESS RULE: (1) FIRST LIMB — DAMAGES NATURALLY ARISING: The plaintiff may recover damages that arise naturally from the breach according to the usual course of things — loss that any reasonable person would expect to follow from this type of breach. (2) SECOND LIMB — WITHIN REASONABLE CONTEMPLATION: The plaintiff may also recover damages that both parties contemplated as a probable result of breach AT THE TIME THE CONTRACT WAS MADE. Special circumstances must have been communicated to make such damages recoverable. The millers had not told the carrier they had no spare shaft and the mill would stop
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entirely. Their loss of profits was therefore not recoverable under either limb.

Victoria Laundry (Windsor) Ltd v Newman Industries Ltd [1949] UK

Newman contracted to deliver a large boiler to the laundry by June 5. It was delivered five months late. The laundry claimed both ordinary lost profits AND loss of a very lucrative government dyeing contract they had hoped to win. HELD: Ordinary lost profits were recoverable (first limb — naturally arising). But the extraordinary government contract profits were not recoverable — Newman had no knowledge of this special contract at the time of contracting. RULE REFINED: The question is whether, at the time of contracting, a reasonable person in the defendant's position would have contemplated the particular type of loss as a likely result of breach. The defendant need not foresee the precise extent of the loss — just the TYPE of loss.

Limitation 2: Duty to Mitigate

The innocent party has a DUTY TO MITIGATE their loss — to take reasonable steps to minimize the damage caused by the breach. Failure to mitigate reduces the recoverable damages.

- The duty to mitigate does NOT require the innocent party to take unreasonable steps, incur unreasonable expense, or take actions that are unduly risky.
- The duty requires the innocent party to take steps a reasonable person in their position would take to reduce their loss.
- The innocent party CANNOT recover losses that they could have avoided by reasonable mitigation.
- The duty arises when the breach occurs — not when the innocent party becomes aware they should mitigate.

Limitation 3: Certainty

Damages must be proved with reasonable certainty. Speculative or hypothetical losses are not recoverable unless there was a real (not merely theoretical) chance they would have materialized.

- LOSS OF A CHANCE: Where the breach causes a loss of a chance of gain (e.g., loss of a chance to win a competition), courts may award damages representing the VALUE OF THE CHANCE — even if the chance of gain was less than 50%.
- DIFFICULTY OF PROOF: Where loss is clearly established but its quantum is difficult to assess, courts will do their best to estimate — they will not deny all compensation merely because it is hard to quantify precisely.

16.3 Specific Performance

Specific performance is an equitable remedy ordering the defendant to perform the contract. It is available where damages would be inadequate — usually because the subject matter is unique.

- AVAILABLE FOR: Sale of land (land is always treated as unique); sale of unique goods (a painting by a specific artist; a specific antique); certain commercial contracts where the particular subject matter cannot be replaced by damages.
- NOT AVAILABLE FOR: Personal service contracts (courts will not order someone to work for someone they do not want to work for); contracts requiring continuous supervision; contracts of a personal or discretionary nature.
- EQUITABLE NATURE: As an equitable remedy, specific performance is discretionary. It may be denied where: the plaintiff acted inequitably; the terms are vague; it would cause undue hardship to the defendant; or the plaintiff delayed unreasonably (laches).

16.4 Damages — Computation in Different Contexts

Cost of Performance vs Diminution in Value

In contracts for the performance of work, a key question is whether damages should be measured by: (a) the **COST OF PERFORMANCE** — what it would cost to complete the work as contracted; or (b) the **DIMINUTION IN VALUE** — the difference between what was delivered and what was promised.

Groves v John Wunder Co (Minnesota, 1939)	A contractor was obligated to grade a gravel pit. The contractor did not grade it properly. The cost of proper grading was \$60,000; the increase in value of the property if properly graded would have been \$12,160. The court awarded \$60,000 — the cost of completion (cost of performance). RULE (North American approach): The innocent party is entitled to the benefit of their bargain — if they bargained for a specific performance, they are entitled to get that performance done at whatever cost.
Peevyhouse v Garland Coal & Mining Co (Oklahoma, 1963)	Peevyhouse allowed Garland to mine coal on their land on condition Garland restore it after mining. Garland refused to restore. Restoration would cost \$29,000; the increase in value of the land if restored would be only \$300. HELD : Peevyhouse recovered only \$300 — the diminution in value. RULE : Where cost of completion is grossly disproportionate to the benefit to the innocent party, courts may award the lesser sum (diminution in value). This is the minority approach — most cases favour cost of completion.

Wasted Expenditure vs Lost Profits

An innocent party may claim **WASTED EXPENDITURE** (reliance damages) instead of lost profits (expectation). The plaintiff will choose whichever measure is greater, unless the defendant can show that the plaintiff would not have recovered their expenditure even if the contract had been performed (i.e., the contract was a bad bargain).

16.5 Punitive Damages for Breach of Contract

Whiten v Pilot Insurance Co, 2002 SCC 18	Pilot Insurance denied a fire insurance claim in bad faith — it knew the claim was valid but manufactured defences. HELD : Punitive damages of \$1 million were awarded against Pilot Insurance. RULES : (1) Punitive damages are exceptionally available for breach of contract in Canada where the defendant's conduct is INDEPENDENTLY ACTIONABLE — where there is an 'actionable wrong' apart from the breach of contract itself; (2) The 'actionable wrong' may be the conduct of bad faith that independently constitutes tortious conduct (in Whiten: the deliberate bad faith denial amounted to an independent wrong); (3) Punitive damages for breach of contract alone (without an independent actionable wrong) are generally NOT available — but they are available where the breach was accompanied by dishonest or fraudulent conduct that is itself independently actionable.
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16.6 Anticipatory Breach and the Election to Affirm or Accept

An anticipatory breach occurs when one party clearly indicates, before the time for performance, that they will not perform. The innocent party then faces an election:

- **ACCEPT THE REPUDIATION**: Treat the contract as terminated immediately, and sue for damages at once. The duty to mitigate begins immediately.

- **AFFIRM THE CONTRACT:** Reject the repudiation, insist on performance, and wait for the performance date. The contract continues in force for both parties.

White & Carter (Councils) Ltd v McGregor [1962] HL

McGregor cancelled a contract for the display of advertisements on dustbin lids on the same day it was signed. White & Carter declined to accept the cancellation, prepared the advertisement plates, and displayed the advertisements for three years as contracted. They then sued for the full contract price. HELD (3:2): White & Carter could recover the full contract price. An innocent party who does not accept a repudiation may continue to perform and claim the contract price — they are not obliged to accept a repudiation. QUALIFICATIONS: (1) The innocent party must be able to perform WITHOUT the other party's cooperation; (2) The innocent party's continued performance must not be 'wholly unreasonable.' If both qualifications are satisfied, the innocent party may affirm and recover the full price.

16.7 Liquidated Damages vs Penalty Clauses

Parties may include a clause specifying the amount of damages payable upon breach. Such clauses are valid if they are a genuine pre-estimate of loss (liquidated damages), but void if they are a penalty designed to punish the defaulting party rather than compensate the innocent one.

LIQUIDATED DAMAGES (VALID)	PENALTY CLAUSE (VOID)
A genuine pre-estimate of the likely loss from breach, agreed in advance.	A clause that imposes a payment far exceeding any plausible loss — designed to compel performance by threat of punishment.
Enforceable — the innocent party recovers the stipulated amount without needing to prove actual loss.	Unenforceable — the innocent party can recover only actual damages proved.
Example: A contract for construction by a deadline specifies \$5,000/day as delay damages — if this is a genuine estimate of the delay costs, it is a liquidated damages clause.	Example: A clause specifying \$1 million for any breach (including trivial ones) in a contract worth \$50,000 — this is a penalty.

⚠ EXAM TIP — REMEDIES — THE MUST-KNOW STRUCTURE

When a question asks about remedies: (1) Identify the breach and any anticipatory breach. (2) Identify which interest the plaintiff wants to protect (expectation, reliance, or restitution). (3) Calculate expectation damages: position with contract MINUS actual position. (4) Apply Hadley — are the claimed damages within the first or second limb? Warn about remoteness for unusual or special losses. (5) Duty to mitigate — has the plaintiff taken reasonable steps? (6) Was there a liquidated damages clause? Does it represent a genuine pre-estimate? (7) Is specific performance available (land/unique goods)? (8) Punitive damages only where Whiten-type independent actionable wrong exists.

16.8 Account of Profits

The traditional expectation damages rule ensures the innocent party does not receive more than their expectation loss. However, in exceptional cases, equity permits an account of profits — a remedy that strips the defendant of the profits made from their breach, regardless of whether the innocent party suffered an equivalent loss. This remedy is available only in narrow circumstances.

**Attorney General v Blake
[2001] HL**

George Blake, a former British intelligence officer, wrote a memoir (not his) breaching his lifelong confidentiality duty. The Crown could not show financial loss equivalent to Blake's publishing profits. The House of Lords allowed the Crown to claim an account of ALL profits from the book. HELD: An account of profits is available in exceptional cases where the innocent party has a legitimate interest in preventing the defendant from profiting from breach — beyond mere compensation. The remedy is not available merely because the defendant profited; there must be a special factor justifying disgorgement. RULE (THREE FACTORS suggesting account of profits is appropriate): (1) the defendant's breach was cynical and deliberate, in the expectation of making a profit that exceeds the likely loss; (2) the innocent party had a legitimate interest in the performance of the duty (not mere economic interest in compensation); (3) damages would be an inadequate remedy. NOTE: Blake has been interpreted narrowly in subsequent cases. It is unlikely to apply in standard commercial disputes.

Account of Profits vs Expectation Damages

EXPECTATION DAMAGES	ACCOUNT OF PROFITS
Compensates the innocent party for their loss.	Strips the defendant of profits, regardless of the innocent party's actual loss.
Plaintiff may recover less than the defendant's profit.	Plaintiff recovers the defendant's profit, even if it exceeds their loss.
Available as of right where breach and loss are established.	Exceptional remedy — available only in narrow circumstances (Blake; cynically deliberate breach).
The standard contract remedy.	The remedy of last resort for egregious breaches.

16.9 Non-Pecuniary Damages for Breach of Contract

The general rule in contract law is that mental distress, disappointment, and non-pecuniary losses are NOT recoverable in contract — the law protects economic interests, not emotional ones. However, there are recognized exceptions.

**Jarvis v Swans Tours Ltd
[1973] UK EWCA**

Jarvis booked a holiday based on Swan Tours' brochure which contained numerous inaccuracies — 'houseparty' turned out to be just Jarvis alone for most of the holiday; the ski runs were much worse than advertised; the host did not speak English. The holiday was a disappointment. HELD: Jarvis could recover damages for his MENTAL DISTRESS and DISAPPOINTMENT caused by the ruined holiday — despite the general rule against such damages. RULE: Where the VERY OBJECT of the contract is to provide enjoyment, pleasure, or relaxation, the innocent party can recover for the loss of that enjoyment or pleasure when the contract is breached. This is not a general rule permitting emotional damages — it is specific to contracts whose very purpose is a pleasurable experience.

CANADIAN APPLICATION — FARLEY v SKINNER [2001] HL (influential in Canada): A purchaser paid a surveyor to investigate whether aircraft noise would be a problem. The surveyor negligently failed to investigate.

The court awarded non-pecuniary damages for the loss of peace and quiet — because the VERY OBJECT of the surveying contract included providing peace of mind that noise would not be an issue.

The Rule in Watts v Morrow — Non-Pecuniary Loss in Survey Cases

Watts v Morrow [1991] UK EWCA

Purchasers relied on a negligent survey. The court awarded damages for physical inconvenience and distress suffered during repairs — but NOT damages for the general disappointment of the purchase. RULE: Distress damages are available in contract only where: (a) the contract is specifically for the provision of peace of mind or enjoyment; OR (b) the distress is caused by physical inconvenience flowing directly from the breach (living in a construction zone during necessary repairs). General disappointment with a bad bargain does not give rise to non-pecuniary damages.

16.10 Specific Performance — Canadian Law

Semelhago v Paramadevan [1996] 2 SCR 415

In Canada, land has traditionally been treated as unique for purposes of specific performance — any breach of a land purchase contract automatically entitled the innocent party to specific performance because land was presumed unique. Justice Sopinka challenged this presumption: in an era of mass-produced housing developments, not every parcel of land is unique in the sense that damages would be an inadequate remedy. HELD: While specific performance remains available for real property, courts should no longer automatically presume land is unique merely because it is land. The innocent party must establish that the land was unique to them in the specific circumstances — that money damages would genuinely be inadequate. RULE: Specific performance of land contracts is still available in Canada, but the innocent party must show that damages would be inadequate in the specific circumstances. The mere fact that the subject matter is land does not automatically satisfy this requirement.

When Specific Performance IS Appropriate

- Land with specific features valued by the purchaser (architectural significance, location, view, access to specific resources) — more likely unique.
- Commercial properties with specific lease rights, tenant mix, or zoning that cannot be replicated through damages.
- Unique goods — a specific painting, a one-of-a-kind antique, a rare manuscript. Courts will order specific performance where the goods cannot be obtained elsewhere.
- Shares in a private company where there is no market price and the shares confer specific rights (e.g., voting control) that cannot be replicated by a money award.

When Specific Performance is NOT Appropriate

- Personal service contracts — courts will not compel someone to work for someone they do not want to work for (this would be tantamount to compelling labour).
- Contracts requiring continuous performance that would need constant court supervision (building contracts, long-term service agreements) — courts decline to supervise ongoing performance.
- Where the innocent party has delayed unreasonably in seeking specific performance (laches).
- Where the innocent party has not performed or tendered performance of their own obligations.

- Where specific performance would cause undue hardship to the defendant disproportionate to the benefit to the plaintiff.

16.11 Injunctions

An injunction is an equitable remedy ordering a party to DO something (mandatory injunction) or to REFRAIN from doing something (prohibitory injunction). In the contracts context, injunctions are most relevant where a party has agreed not to do something (e.g., not to compete; not to disclose confidential information) and is about to breach or has breached that negative covenant.

- **MANDATORY INJUNCTION:** Orders a party to take a positive step — e.g., to restore a property to its original condition; to deliver specific goods. It is more readily granted at trial than on an interim basis.
- **PROHIBITORY INJUNCTION:** Restrains a party from doing what they have promised not to do. Where a party has a clear negative covenant (do not compete; do not disclose), a court may grant an injunction to enforce it — particularly where damages for breach would be inadequate (the harm is ongoing and incalculable).
- **INTERLOCUTORY INJUNCTION:** Granted before trial to maintain the status quo. Test (*American Cyanamid*; *RJR-MacDonald Inc v Canada*): (a) Is there a serious question to be tried? (b) Would the applicant suffer irreparable harm if the injunction is not granted? (c) Does the balance of convenience favour granting the injunction?

16.12 Remoteness — Advanced Considerations

The *Hadley v Baxendale* framework has been refined in subsequent cases. Some important nuances for the exam:

The 'Type of Loss' vs 'Extent of Loss' Distinction

Parsons (Livestock) Ltd v Uttley Ingham & Co Ltd [1978] UK EWCA

A pig food storage hopper was delivered with a ventilation hatch welded shut. Pigs ate mouldy food and many died of a rare intestinal disease. Parsons claimed the entire value of the dead pigs. HELD: The defendants were liable. The TYPE of loss (disease in pigs from eating bad food) was foreseeable — even if the particular disease (and its rarity) was not foreseeable. Once the type of loss is foreseeable, the defendant is liable for the full extent of that type of loss, even if the precise degree of harm was not foreseeable. RULE: The defendant need not foresee the precise severity or extent of the loss — only that some loss of that TYPE was foreseeable. This is sometimes called the 'thin skull' rule in contract (analogous to the tort principle).

Knowledge at the Time of Contracting

The second limb of *Hadley* asks what the parties contemplated AT THE TIME OF CONTRACTING. Information acquired after contracting (even before breach) is generally irrelevant. If the special circumstances were not communicated to the defendant when the contract was formed, the resulting loss from those circumstances is too remote — even if the defendant learned of them later.

Loss of Chance

Where a breach deprives the plaintiff of a CHANCE at a gain (rather than a certain gain), the proper measure is the VALUE OF THE CHANCE, weighted by its probability. This is particularly important in professional negligence claims arising from contractual relationships.

- Example: A solicitor's negligence causes a client to miss a court deadline, losing a lawsuit they might have won. Damages = the value of the lawsuit × the probability the client would have won it.
- The plaintiff does not need to prove they would definitely have succeeded — they only need to establish a REAL (not merely theoretical) chance of success.

APPENDIX A: Master Case Law Reference

Tab this appendix. All cases organized by topic for exam reference.

Formation — Offer and Acceptance

CASE	KEY RULE
Carlill v Carbolic Smoke Ball Co [1893]	Unilateral offer to the world; accepted by performance; notification of acceptance may be dispensed with; consideration = inconvenience of using ball.
Partridge v Crittenden [1968]	Advertisement = invitation to treat; not an offer.
Hyde v Wrench [1840]	Counter-offer kills the original offer; if original offer is then purported to be accepted, no contract.
Ontario v Ron Engineering [1981] 1 SCR 111	FOUNDATIONAL: submission of compliant tender creates Contract A; tender is irrevocable during stipulated period.
MJB Enterprises v Defence Construction [1999] 1 SCR 619	Implied term of Contract A: owner must only accept compliant bids; must award to lowest compliant bidder where policy manual requires it.
Tercon Contractors v BC, 2010 SCC 4	Three-step exclusion clause test: (1) interpretation; (2) unconscionability; (3) public policy. Fundamental breach is dead.

Consideration and Promissory Estoppel

CASE	KEY RULE
Stilk v Myrick [1809]	Pre-existing contractual duty cannot be consideration for a new promise. Sailors already obligated to sail home.
Hartley v Ponsonby [1857]	Where the departure from the existing obligation is so extreme it amounts to a new contract, additional pay is recoverable.
Gilbert Steel v University Construction (1976) ONCA	CANADA: Pre-existing duty rule bars enforcement of oral modification without fresh consideration.
Williams v Roffey Bros [1991] UK	Practical benefit to the promisor can be consideration for a modification — but note this has not been uniformly adopted in Canada.
Foakes v Beer [1884]	Part payment of a debt does not satisfy the full amount absent fresh consideration.
Central London Property v High Trees [1947]	Promissory estoppel: clear and unequivocal promise to waive strict legal rights; reliance; inequitable to resile.
John Burrows v Subsurface	CANADA: Promissory estoppel requires clear and

Surveys [1968] SCR 607	unequivocal promise. No detriment required in Canada (reliance sufficient).
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Privity and Third Party Beneficiaries

CASE	KEY RULE
Dunlop Pneumatic Tyre v Selfridge [1915]	Only parties to a contract can sue on it.
London Drugs v Kuehne & Nagel [1992] 3 SCR 299	Employees performing the contracted service can invoke their employer's exclusion clause — two conditions: clause extends to employees; in course of employment performing contracted service.
Greenwood Shopping Plaza v Beattie [1980] SCC	Tenants' employees could rely on landlord's exclusion clause.

Representations, Terms, and Interpretation

CASE	KEY RULE
Heilbut Symons v Buckleton [1913]	Test for whether a pre-contractual statement is a term: objective intention of the parties; presumption against warranty.
Dick Bentley Productions v Harold Smith (Motors) [1965]	Dealer's statement about car mileage = term because dealer had special knowledge.
Oscar Chess v Williams [1957]	Private seller's statement about car year = representation only; no special knowledge.
Sattva Capital Corp v Creston Moly Corp, 2014 SCC 53	Contracts interpreted in their 'matrix of fact' — surrounding circumstances inform meaning of words; but cannot contradict clear language.
Bhasin v Hrynew, 2014 SCC 71	General organizing principle of good faith; duty of honest performance applies to all contracts; not a free-standing rule; no duty of disclosure; not fiduciary.
CM Callow Inc v Zollinger, 2020 SCC 45	Extends Bhasin: duty of honest performance covers exercise of contractual rights; half-truths, omissions, and silence can breach the duty.

Vitiating Factors

CASE	KEY RULE
Bell v Lever Brothers [1932]	Common mistake only nullifies if the mistake is so fundamental that the subject matter is essentially different from what was believed — extremely high threshold.
Raffles v Wichelhaus [1864]	Mutual mistake: parties at cross-purposes about fundamental matter; no contract if neither interpretation objectively preferred.
Smith v Hughes [1871]	Unilateral mistake as to quality (not identity) does not void a contract; objective test governs.

Esso Petroleum v Mardon [1976]	Negligent misrepresentation: Hedley Byrne duty applies where special expertise + reliance; damages in tort.
Davis Contractors v Fareham [1956]	FRUSTRATION TEST: performance must be radically different from what was contracted for — not merely more difficult or expensive.
Taylor v Caldwell [1863]	Frustration: destruction of subject matter. Implied condition that the music hall would exist.
Krell v Henry [1903]	Frustration: failure of the entire purpose/basis of the contract.
Herne Bay Steam Boat v Hutton [1903]	Not frustrated: one of several purposes remained possible; frustration requires loss of the SOLE purpose.
Harry v Kreutziger (1978) BCCA	Unconscionability test: inequality of bargaining power + improvident bargain. Both elements required.

Remedies

CASE	KEY RULE
Hadley v Baxendale [1854]	Remoteness: (1) naturally arising from breach; OR (2) within the reasonable contemplation of both parties at contracting. Special circumstances must be communicated.
Victoria Laundry v Newman [1949]	Refines Hadley: defendant need not foresee the precise extent; must foresee the TYPE of loss. Ordinary profits recoverable; extraordinary profits (unknown government contract) not recoverable.
Anglia Television v Reed [1972]	Reliance damages: pre-contractual wasted expenditure recoverable if within defendant's reasonable contemplation as likely to be wasted on breach.
White & Carter (Councils) v McGregor [1962]	Innocent party may affirm a repudiated contract and recover the full price — without needing the other party's cooperation; subject to 'wholly unreasonable' qualification.
Whiten v Pilot Insurance Co, 2002 SCC 18	Punitive damages for breach of contract available where there is an independent actionable wrong (bad faith + tortious conduct); \$1 million upheld.

APPENDIX B: Issue-Spotter and Exam Strategy

Use this appendix in the first 3-4 minutes of the exam. Flag every issue before writing.

Trigger Words and Their Issues

TRIGGER IN FACT PATTERN	ISSUES TO ADDRESS
'Call for tenders' / 'bid' / 'RFP'	Contract A/Contract B (Ron Engineering, MJB). Was bid compliant? Did owner consider non-compliant bid? Exclusion clause (Tercon three-step).
'Standard form contract' /	Incorporation (signature → L'Estrange; notice → Thornton). Tercon

'exclusion clause'	three-step: (1) interpretation/contra proferentem; (2) unconscionability; (3) public policy.
'\$5,000 extra' / 'additional payment' / 'we agreed to increase the price'	Pre-existing duty rule (Stilk/Gilbert Steel). Is there fresh consideration? Williams v Roffey practical benefit (argue both ways in Canada).
'Promise to pay' / 'I'll donate to charity' / 'I'll give you a bonus'	Consideration for the promise? Past consideration? Promissory estoppel as a defence if promise is resiled from (High Trees; Burrows). Shield not sword.
'Third party' / 'on behalf of' / 'for the benefit of'	Privity of contract (Dunlop). Exceptions: London Drugs (employee); agency; trust; assignment.
'I thought the car was...' / 'both parties assumed...'	Mistake: Common (Bell v Lever — very high threshold); mutual (Raffles); unilateral (Smith v Hughes — quality vs identity).
'He told me the property would be developed...' / 'She said the business earned \$X'	Representation vs term (Heilbut Symons; Dick Bentley). If false: misrepresentation (fraudulent/negligent/innocent). Remedies: rescission and/or damages.
'Impossible to complete' / 'event occurred after contracting'	Frustration (Davis Contractors — is it RADICALLY different?). Categories: destruction; supervening illegality; loss of purpose (Krell). Frustrated Contracts Act consequences.
'He lied to me' / 'they misled us about their intentions'	Bhasin duty of honest performance. Was it directly linked to performance of the contract? Active misleading? CM Callow: silence + half-truths sufficient.
'Claimed \$500,000 in lost profits'	Remoteness (Hadley): first or second limb? Were profits foreseeable? Mitigation: did plaintiff take reasonable steps? Certainty: speculative loss?
'I want them to complete the building / deliver the specific painting'	Specific performance (damages inadequate? land = unique; goods = unique goods? personal service = not available).
'The contract says \$10,000 for any breach'	Liquidated damages vs penalty clause. Is \$10,000 a genuine pre-estimate? If grossly disproportionate = unenforceable penalty.

Time Allocation

QUESTION TYPE	MARKS	TIME	MINIMUM ISSUES TO COVER
Q1 — Tendering (typical)	25	45 min	Contract A (Ron Engineering), implied terms (MJB), breach analysis, exclusion clause (Tercon three-step)
Q2 — Consideration + Privity (typical)	25	45 min	Pre-existing duty, fresh consideration, practical benefit, privity, third party remedies
Q3 — Frustration + Illegality (3 sub-parts)	30	54 min	Frustration test (Davis), supervening illegality, Frustrated Contracts Act consequences, quantum meruit
Q4 — Representations + Terms (typical)	20	36 min	Representations vs terms (Heilbut Symons), condition/warranty distinction, misrepresentation type, rescission rights, deposit recovery

Top 10 Exam Mistakes in Contract Law

MISTAKE	CORRECTION
1. Confusing a tender call with an offer	A call for tenders is an INVITATION TO TREAT. The tender submitted is the offer. Submission of a compliant tender creates Contract A — not the offer itself.
2. Applying fundamental breach to avoid an exclusion clause	Fundamental breach is DEAD in Canada (Tercon). Apply the three-step Tercon test: interpretation → unconscionability → public policy.
3. Thinking Williams v Roffey is Canadian law	Williams v Roffey (practical benefit) is English law that has NOT been uniformly adopted in Canada. Gilbert Steel remains the leading ONCA authority on pre-existing duty. Argue both positions.
4. Treating promissory estoppel as a cause of action	In Canada (Burrows), promissory estoppel is a SHIELD (defence) not a sword. It cannot create a contract. But it can prevent enforcement of strict rights the promisor waived.
5. Thinking frustration applies whenever performance becomes more expensive	Davis Contractors: mere increased cost or difficulty does NOT frustrate a contract. Performance must become RADICALLY DIFFERENT. BDL losing money on the bridge does not frustrate the contract.
6. Missing the Frustrated Contracts Act	When frustration IS established, apply the Ontario Frustrated Contracts Act for consequences — who keeps the deposit, who gets paid for work done?
7. Not addressing remoteness on damages questions	Every damages question requires Hadley v Baxendale analysis. State both limbs. Flag whether special circumstances were communicated. Victoria Laundry for the second limb.
8. Confusing Bhasin's good faith with a duty of disclosure	Bhasin does NOT require parties to volunteer unfavourable information. It merely requires not actively lying or misleading. Active concealment YES; mere silence NO (unless actively misleading in context — CM Callow).
9. Using misrepresentation remedies for a contractual term	If the statement was incorporated as a TERM of the contract, the remedy is breach of contract (expectation damages). Misrepresentation remedies (rescission) apply only where the statement was a REPRESENTATION, not a term.
10. Ignoring the duty to mitigate on damages questions	Always state: 'the innocent party has a duty to take reasonable steps to mitigate their loss. Failure to mitigate reduces recoverable damages by the amount that could have been avoided.' This earns marks on every damages question.

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APPENDIX C: Worked Sample Exam Walkthrough — Annotated Strategy

This appendix works through the NCA official sample exam question-by-question, identifying the issues, the applicable law, and the analytical sequence that earns marks. Use this as a template for how to approach any NCA Contracts exam question.

SAMPLE EXAM Q1 — Tendering (25 marks, 45 minutes)

FACT PATTERN SUMMARY: Ottawa issues a call for tenders for garbage compactors. Clause [23] requires equipment built in 2008 or after. DGL's bid of \$300,000 included one compactor built in 2007 — DGL faxed particulars (clause [41]) and Mary told George she 'couldn't see any problem.' CSL bid \$375,000, fully compliant. Ottawa intends to recommend DGL.

Q1 ANALYTICAL SEQUENCE	
STEP 1 Identify the legal framework (2 marks)	Contract A / Contract B analysis from Ron Engineering [1981] SCC: • The call for tenders is an INVITATION TO TREAT — not an offer. • Each compliant bid submitted is an OFFER from the bidder that creates Contract A — an irrevocable tendering contract binding the bidder to its bid price and the City to process all bids fairly. • Contract B (the actual supply contract) arises when the City ACCEPTS one of the bids. State this framework explicitly — it earns marks before you even reach the specific issues.
STEP 2 Was DGL's bid compliant? (6 marks)	DGL's bid is technically NON-COMPLIANT: Clause [23] requires equipment built in 2008 or after. One compactor was built in 2007. BUT: Clause [41] — DGL did submit 'full particulars' of the non-compliance. Did this cure the defect? • Clause [42] gives the City the right to 'waive any informality' — arguably this permits the City to waive DGL's age specification deviation. • HOWEVER: MJB Enterprises [1999] SCC implies a mandatory term into Contract A that the owner will ONLY accept compliant bids. The privilege clause in MJB (similar to clause [42]) did not override this implied mandatory term. • CONCLUSION: The better argument is that a specification relating to the age of the equipment (a central specification) is NOT a mere 'informality' that clause [42] can waive. DGL's bid remains non-compliant even with the particulars fax.
STEP 3 Estoppel — Did Mary's statement bind the City? (5 marks)	Mary told George she 'couldn't see any problem with his bid.' George refrained from submitting a new, compliant bid in reliance on this. Promissory estoppel analysis (Burrows; High Trees): • Clear and unequivocal statement: Mary's oral statement may be sufficiently clear — she effectively told DGL its bid would be accepted as is. • Reliance: George specifically refrained from submitting a new compliant bid because of Mary's statement. • Inequitable to resile: If the City now rejects DGL's bid after George relied on Mary's assurance, DGL would suffer the loss of the tendering opportunity — inequitable. • RESULT: The City may be estopped from treating DGL's bid as non-compliant — OR DGL may have a damages claim if the City now rejects its bid after Mary's assurance.
STEP 4 CSL's rights (6 marks)	If the City awards to DGL (whose bid is non-compliant): • Contract A is formed between the City and CSL (as a compliant bidder). • An implied term of Contract A (MJB) is that the City will only accept COMPLIANT bids. • By accepting DGL's non-compliant bid, the City breaches Contract A with CSL.

	• CSL's damages: reliance damages (costs of preparing and submitting its bid) + potentially the lost profit on Contract B (expectation loss — the profit CSL would have made if it had been awarded the contract). • CSL's claim for \$25,000 (out of pocket expenses + modest return): this is a reasonable articulation of reliance damages. The City should take CSL's claim seriously.
STEP 5 DGL's rights (4 marks)	If the City accepts DGL's bid (notwithstanding non-compliance), Contract B is formed with DGL. DGL must perform. If the City NOW rejects DGL's bid: DGL may have a claim based on Mary's estoppel — the City led DGL to believe its bid was compliant, and DGL refrained from submitting a new bid in reliance. DGL's damages: loss of the opportunity to submit a compliant bid (the lost profit from Contract B if DGL would have been the successful bidder on a compliant re-tender). ADVICE TO CITY: The City is in a difficult position. Accepting DGL's bid risks a breach of Contract A claim from CSL. Rejecting DGL's bid (after Mary's assurance) risks an estoppel claim from DGL. The City should seek legal advice immediately and may need to consider whether to re-tender the entire process to mitigate further exposure.
STEP 6 Policy Manual (2 marks)	The City's own policy manual states tenders will be awarded on the basis of 'lowest evaluated tender' — meaning the tender meeting the specifications at the lowest cost. This reinforces the MJB implied term: the City's own policy required it to award to the lowest COMPLIANT bid. DGL's bid may not be 'meeting the specifications.'

SAMPLE EXAM Q2 — Consideration + Privity (25 marks, 45 minutes)

FACT PATTERN SUMMARY: Adriano contracted with William & Mary to carpet and tile offices (\$190,000). Due to carpet blockades, Adriano told them he needed \$10,000 more or he would be 2 months late. Mr. William said 'do what you have to do.' Ahmed (sales manager) promised Adriano \$2,000 bonus if his office is done first — Adriano stipulated it go to the Humane Society. Adriano finished late (September 28, not August). William & Mary paid \$190,000. Ahmed refused to pay. The Humane Society printed new brochures.

Q2 ANALYTICAL SEQUENCE	
ISSUE 1 Additional \$10,000 — Pre-Existing Duty (8 marks)	Can Adriano recover the \$10,000 from William & Mary? • Adriano was already contractually obligated to complete the job for \$190,000 — performing this existing duty is NOT good consideration for a new promise to pay \$10,000 more (Stilk v Myrick; Gilbert Steel). • Mr. William's statement 'do what you have to do to get it done' — is this a binding promise to pay more, or merely encouragement within the existing contract? It sounds like an instruction to perform the existing contract (using Italian carpet instead of Middle Eastern). • PRACTICAL BENEFIT argument (Williams v Roffey): Did William & Mary obtain a practical benefit from Adriano's promise to use Italian carpet — e.g., did they avoid delay-related losses (cancelled office openings, staff disruption)? If so, the practical benefit could be consideration for the \$10,000 promise. BUT: Williams v Roffey is English law and has not been uniformly adopted in Canada (Gilbert Steel ONCA). Argue both positions. • WAS THE JOB DONE ON TIME? Adriano finished September 28. The contract required August completion. He was late — so William & Mary may not even be liable for the original \$190,000 without deducting delay damages.

	The \$10,000 claim is further weakened by the late delivery. • CONCLUSION: Adriano cannot recover the \$10,000 — no fresh consideration (Gilbert Steel). However, note the Williams v Roffey alternative argument in case the exam rewards it.
ISSUE 2 Ahmed's \$2,000 Promise to the Humane Society (9 marks)	Can Adriano sue Ahmed for the \$2,000? Can the Humane Society? ADRIANO vs AHMED: • Is there a binding contract between Adriano and Ahmed? Ahmed promised \$2,000 if his office was done first. Adriano agreed — and completed Ahmed's office first. The consideration: Adriano's completion of Ahmed's office first (a unilateral contract accepted by performance — analogous to Carlill). This appears to be a binding bilateral contract (or unilateral, accepted by completion). • Was there fresh consideration for Ahmed's promise? Ahmed was not already owed first-completion of his office — the main contract with William & Mary was for all offices generally. Completing Ahmed's office first was a NEW obligation for Adriano. Therefore there IS consideration. • PRIVITY: The \$2,000 was to be paid to the Humane Society, not to Adriano. Adriano can sue for the \$2,000 — he is the contracting party. But can he recover it on behalf of the Humane Society? The Humane Society is a third party beneficiary. Under the privity rule (Dunlop v Selfridge), the Humane Society cannot directly sue Ahmed. • TRUST ARGUMENT: If Adriano holds Ahmed's promise on TRUST for the Humane Society, the Humane Society could enforce through Adriano as trustee. The stipulation that payment must go to the Humane Society suggests an intention to create a trust. HUMANE SOCIETY directly: • Cannot sue under the contract (privity). • May have a RELIANCE claim: Based on information from Adriano, they printed \$2,000 worth of brochures. Can they recover in promissory estoppel? Promissory estoppel traditionally requires a pre-existing legal relationship — the Humane Society has no legal relationship with Ahmed. As a stranger, estoppel as a shield is unavailable. • NEGLIGENT MISREPRESENTATION? Did Adriano carelessly represent to the Humane Society that \$2,000 was coming? If the Society's reliance was reasonable and Adriano owed them a duty of care, they may recover \$2,000 in tort — but the claim is against Adriano, not Ahmed.
ISSUE 3 Frustration? (8 marks)	Was Adriano's contract frustrated by the Middle Eastern blockades? • Davis Contractors test: Was performance RADICALLY DIFFERENT from what was contracted for — or merely more difficult/expensive? • Adriano was still able to complete the job. He found an alternative source (Italian carpet). The contract was not impossible — it was more expensive (\$10,000 more). Merely being more expensive does NOT frustrate a contract (Davis Contractors). • Was the Middle Eastern carpet blockade foreseeable? In a contract to supply Middle Eastern carpets, a blockade affecting Middle Eastern goods was a foreseeable commercial risk — arguably within the scope of risks that Adriano assumed in contracting to supply carpet. • CONCLUSION: The contract was NOT frustrated. Adriano remained obligated to complete as agreed. His additional cost does not become William & Mary's problem.

SAMPLE EXAM Q3 — Frustration + Illegality + Restitution (30 marks)

FACT PATTERN SUMMARY: City of Windsor contracted with BDL (\$250,000) to build a pedestrian bridge using piles across the riverbed. BDL read only the summary of the geological report (not the caveat about dredging impacts). Riverbed conditions changed (dredging caused silting and erosion). Q3A: BDL pulled out — City wants to enforce. Q3B: The Navigable Waters Act was enacted — ministerial approval needed, BDL can't get it. Q3C: BDL built the bridge anyway in ignorance of the Act; invoicing \$350,000.

Q3 PARTS A, B, C — STRUCTURE	
Q3A — Frustration Analysis (10 marks)	City wants to enforce the \$250,000 contract. BDL argues frustration. • Davis Contractors test: Has the changed riverbed made performance RADICALLY DIFFERENT from what was contracted for? • STRONG FRUSTRATION ARGUMENT: The WGS geological report (which the City provided) stated the riverbed was mostly sandstone. After dredging, significant silting and erosion changed conditions fundamentally — BDL's pile-driving design (based on the WGS report) became technically impossible in some areas. Steel piles required instead of wood, at substantially greater cost. • ARGUMENT AGAINST FRUSTRATION: BDL is a builder — changed site conditions are a normal commercial risk in construction. BDL did not conduct its own site inspection (it only read the WGS summary). The changed conditions might be a foreseeable risk in bridge construction. • MISREPRESENTATION: The City provided the WGS report, which contained a caveat (buried 10 pages deep) about the impact of dredging. The City knew the river was dredged but did not update the report or inform bidders. There may be a misrepresentation claim (or breach of the implied duty of fairness under Contract A) by the City. • CONCLUSION: Frustration is arguable but uncertain — courts may find that changed site conditions are within the scope of construction risk assumed by BDL. The misrepresentation/implied terms argument against the City is stronger.
Q3B — Supervening Illegality (10 marks)	The Navigable Waters Act enacted AFTER contracting makes the pile-driving approach illegal without ministerial approval. BDL cannot get approval. • SUPERVENING ILLEGALITY = FRUSTRATION: A change in law after contracting that makes the ORIGINAL mode of performance illegal discharges the contract. This is the classic frustration category (Taylor v Caldwell; Davis Contractors). • BUT: BDL can still build a cantilevered bridge (without ministerial approval) for \$350,000. The underlying obligation (build a bridge) is NOT impossible — only the original piled method is illegal. Does frustration apply when an alternative method is available? • Davis Contractors — frustration requires that performance become RADICALLY DIFFERENT, not merely that the specific method originally planned becomes unavailable. If a cantilevered bridge satisfies the contract obligation to 'construct a pedestrian bridge between the foreshore and Peche Island,' the contract may NOT be frustrated. • Tercon-type analysis on the contract: The contract's only term was to build a bridge for \$250,000. It did not specify the pile method. A cantilevered bridge also builds a pedestrian bridge — arguably satisfies the contract. • DOES THE CITY HAVE TO PAY THE INCREASED COST? No. The contract price was fixed at \$250,000. If BDL is required to build a cantilevered bridge (as the alternative), BDL bears the additional cost unless the doctrine

	of mistake or implied terms provides otherwise. • DEPOSIT: If the contract is frustrated by the Act, the \$30,000 deposit is recoverable under the Frustrated Contracts Act (s.3 — money paid before discharge is recoverable).
Q3C — Illegality + Restitution (10 marks)	BDL built the bridge (piles, no approval) for \$350,000 actual cost. City receives an invoice. What must the City pay? • The contract price was \$250,000. Even if BDL performed as contracted, the contract price caps the liability. • BDL built in VIOLATION of the Navigable Waters Act. The bridge was completed without ministerial approval. Ex turpi causa — can BDL recover from its own illegal act? • However: The City RECEIVED the bridge. It has a valuable benefit. The Frustrated Contracts Act (s.3(3)) allows recovery of the value of a valuable benefit conferred before discharge — but the Act applies to FRUSTRATED contracts, and whether the contract was frustrated is uncertain. • QUANTUM MERUIT: Even outside the Act, where one party has performed and the other has received a benefit, quantum meruit may prevent unjust enrichment. The City has a \$350,000 bridge for which it has paid nothing. • ILLEGALITY REDUCTION: The bridge is illegal (built without ministerial approval). However, the Minister indicated prosecution is unlikely and supports public access. The value of the benefit is real (a functioning bridge) even if it exists in a legal grey zone. Courts may award the City's promised contract price (\$250,000) as the 'just sum' for the benefit received — a compromise between the \$350,000 invoice (BDL's full cost) and zero (City pays nothing for the bridge it received). • CONCLUSION: The City is liable to pay SOMETHING for the bridge — ex turpi causa does not completely bar recovery where the City itself has received the benefit and bore some responsibility (it provided the flawed WGS report). The quantum meruit/just sum is likely close to the contract price of \$250,000.

This walkthrough demonstrates the analytical depth required for a high-scoring NCA Contracts answer. Notice: every conclusion is tentative ('arguable,' 'likely,' 'the better argument is') — because the exam rewards the analysis, not just the conclusion. State both sides where genuine uncertainty exists. Always close each sub-issue before moving to the next.